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CORPORATE PROFESSIONALS TODAY

A WEEKLY ON GST | INCOME TAX | COMPANY LAW | ACCOUNTS & AUDIT

ISSN 0975-9948

- Deductions under Section 80JJAA as interpreted by NFRA
- Whether NFRA's jurisdiction under Companies Act extend to auditors of a listed company other than Statutory Auditors?
- Section 80JJAA: Some controversial issues
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Weekly Review

In Nutshell

Dear Reader,

If you are not keeping track of stories reported at taxmann.com, here is a special column that summarizes the key updates of the previous week in tax and corporate laws. In this column you will know about:

(*a*) SC upholds SEBI's authority in Adani-Hindenburg Case, rejects transfer to SIT and refuses to revoke FPI & LODR amendments;

(*b*) Interest paid on capital account of partner to be allowed if it was borrowed to settle debt of partnership firm: ITAT;

(*c*) GSTN issued advisory on filing of online declaration in Annexure V and Annexure VI for GTA Taxpayers;

(*d*) NIC issues new advisory on requirement of HSN Code on E-Way Bill Portal;

(*e*) CBIC notified special procedure for persons engaged in manufacturing of Pan Masala & Tobacco products from 01.04.2024;

(*f*) SEBI unveils comprehensive framework on short-selling in the Indian securities market; and

(*g*) NFRA penalizes CA for failure to exercise due diligence in certifying form 10DA.

1. SC upholds SEBI's authority in Adani-Hindenburg Case, rejects transfer to SIT and refuses to revoke FPI & LODR amendments

In the matter of *Vishal Tiwari v. Union of India* [2024] 158 taxmann.com 85 (SC), the Supreme Court of India declined to transfer the Adani-Hindenburg probe from SEBI to SIT and to direct SEBI to revoke amendments to Foreign. Portfolio Investors & Listing Obligations and Disclosure Requirements Regulations.

Brief facts of the case:

On January 24, 2023, Hindenburg Research, an activist short seller, released a report accusing the Adani group of manipulating share prices and violating SEBI regulations by not disclosing transactions with related parties. This led to Public Interest Litigations (PILs) filed in the Supreme Court, specifically *Vishal Tiwari v. Union of India* [2023] 148 taxmann.com 48 (SC). Later, on March 2, 2023, the Supreme Court established a committee to investigate regulatory failures. The SEBI was directed to probe the allegations against the Adani Group and the initial two-month investigation period concluded on May 2, 2023.

Later, the SEBI sought a six-month extension from the Supreme Court in May to conclude a complex investigation, citing intricate transactions. The regulator approached eleven international regulators under IOSCO's Multilateral Memorandum of Understanding regarding Minimum Public Shareholding norms, necessitating additional time.

Consequently, the Supreme Court extended the deadline to August 14, 2023. As the second deadline approached, SEBI requested an extra 15 days, citing substantial progress and the preparation of an interim report based on available materials. The SEBI had sought information from foreign agencies and regulators, intending to evaluate it for future actions.

Apex Court's observations:

The SC outlined that the facts of this case do not warrant a transfer of investigation from the SEBI. In an appropriate case, the Supreme Court can transfer an investigation carried out by the authorized agency to an SIT or CBI. Such a power is exercised in extraordinary circumstances when the competent authority portrays a glaring, wilful and deliberate inaction in the investigation. The threshold for the transfer of investigation has not been demonstrated to exist.

Apex Court's Ruling:

The Supreme Court upheld SEBI's amendments to FPI and LODR Regulations, citing no valid grounds for revocation. Then, the Court held that the amended regulations aimed to enhance scrutiny. It was observed that the SEBI completed 22 out of 24 investigations against the Adani group, and the Court directed the remaining two to be concluded within three months.

Further, the Union Government and SEBI were urged to consider an Expert Committee's suggestions for regulatory strengthening. The Apex Court also instructed the SEBI and the Government agencies to investigate potential legal infractions related to Indian investors' losses due to Hindenburg Research and other entities taking short positions. Suitable action is to be taken if any violations are found.

Reference:

- *Vishal Tiwari* v. *Union of India* [2024] 158 taxmann.com 85 (SC).

2. Interest paid on capital account of partner to be allowed if it was borrowed to settle debt of partnership firm: ITAT

Assessee-firm was engaged in the business of running a hotel. During the relevant assessment year, the firm reconstituted with the retirement of '4' partners and the induction of a new partner. The retiring partners were paid their proportionate share in the assets of the partnership firm. The firm borrowed a loan from the bank and raised fresh capital from the incoming partner to settle the debt and capital account of retiring or outgoing partners.

The assessee claimed the interest paid on such loan as a deduction while computing the income. During the assessment proceedings, the Assessing Officer (AO) contended that the payment to outgoing partners was a family settlement. Thus, any interest paid on such family settlement cannot be considered as interest paid on a loan borrowed for the purpose of the assessee's business. Accordingly, the AO disallowed the interest paid on such loan and made additions to the income of the assessee.

On appeal, the CIT(A) confirmed the additions made by AO. Aggrieved-assessee filed the instant appeal before the Tribunal.

The Tribunal held that the firm was carrying on the business of running a hotel called the 'Hotel President'. The firm borrowed a loan from Punjab National Bank and raised fresh capital from incoming partners to settle the debt or capital account of retiring/outgoing partners. The settlement of the capital account of outgoing partners becomes debt of the partnership firm.

The discharge of said debt out of borrowed funds assumes the character of loans/funds borrowed for the assessee's business. The firm has claimed depreciation on the building on which the hotel was constructed and managed. Therefore, when the partnership firm owned the asset, any settlement out of assets belonging to the firm to the outgoing partners cannot be considered a settlement of family property just because the partners were family members. Therefore, it is very clear that retired partners take a portion of the value of the firm's assets, and thus, just because the asset has been revalued before the reconstitution of the partnership firm cannot be a reason for the AO to treat the settlement of firm properties among partners as settlement of family property.

Since the loan borrowed from the Bank and capital raised from an incoming partner was for the purpose of the business of the assessee, any interest paid on said loan and capital account is nothing but the interest paid on the loan borrowed for the business of the assessee and allowable as per the provisions of the Act.

Accordingly, the additions made by the AO were directed to be deleted.

Reference:

- *Ariff & Co.* v. *Assistant Commissioner of Income-tax* [2024] 158 taxmann.com 135 (Chennai - Trib.).

3. GSTN issued advisory on filing of online declaration in Annexure V and Annexure VI for GTA Taxpayers

The GSTN has issued an advisory to inform that online filing in Annexure V Form and Annexure VI Form is available on the portal for the existing GTA taxpayers for filing declaration in Annexure V Form or Annexure VI Form for the succeeding FY 2024-25 from 01.01.2024 to 31.03.2024.

The Existing/ Newly registered GTA taxpayers who have already submitted Declaration in Annexure V Form for the FY 2023-24 manually with the jurisdictional authority are requested to upload their duly acknowledged legible copy of the Annexure V Form on the portal.

However, the GTAs who filed declaration for the FY 2024-25 on the portal for the period from 27.07.2023 till 22-08-2023 have been considered as filed and valid. Those taxpayers are requested that they need not file the declaration in Annexure V Form for the subsequent FYs if they wish to continue their option to pay GST on the Forward charge mechanism. In this regard, an Update dated January 1st, 2024, has been issued by GSTN.

Reference:

- *Advisory on the functionalities available on the portal for the GTA taxpayers, dated 1-1-2024.*

4. NIC issues new advisory on requirement of HSN Code on E-Way Bill Portal

The NIC has issued an advisory to inform that the requirement of 6 digit HSN code for all the B2B and Export transactions by the taxpayers whose Annual Aggregate Turnover (AATO) is more than ₹5 Crores shall be implemented in the e-way bill System from 1st February 2024. The taxpayers, with AATO less than ₹5 Crores, would need to provide at least a 4-digit HSN code.

Hence, the taxpayers are advised to make necessary changes in their systems and enter 4/6 digit HSN codes while generating the e-way bills through web and API systems from 1st Feb. 2024. In this regard, Press Release dated January 5th, 2024 has been issued.

Reference:

- *Press Release on Advisory on HSN Code, dated 5-1-2024.*

5. CBIC notified special procedure for persons engaged in manufacturing of Pan Masala & Tobacco products from 01.04.2024

The CBIC has notified special procedure which shall be followed by registered persons engaged in manufacturing of Pan Masala & Tobacco products from 01.04.2024. The registered persons engaged in the manufacturing of tobacco, pan masala and other similar items were required to follow a specific procedure such as furnishing the details of packing machines, maintaining additional records, and submitting special monthly statements with effect from 01-01-2024.

However, the Government has deferred the implementation of special procedures till 01-04-2024. Further, some modifications have been made to the procedural aspects of machine registration and special monthly returns. The requirement to maintain daily records in Form SRM-IIIA and Form SRM-IIIB has been removed. The previous notification prescribed maintaining a daily record of inputs and production/clearance in each place of business in the format specified in Form SRM-IIIA and Form SRM-IIIB, respectively. In this regard, Notification No. 04/2024- Central Tax dated January 5th, 2023 has been issued.

Reference:

- *Notification No. 04/2024–Central Tax, dated 5-1-2024.*

6. SEBI unveils comprehensive framework on short-selling in the Indian securities market

Earlier, the SEBI, through Master Circular No. SEBI/HO/MRD2/PoD-2/CIR/P/2023/171, dated October 16, 2023, released the Master circular on 'Short Selling and Securities Lending and Borrowing Scheme.' Subsequently, on January 5, 2024, the SEBI has issued a Circular No. SEBI/HO/MRD/MRD-POD-3/P/CIR/2024/1 outline the short-selling framework.

(*a*) *What is short Selling?*

'Short selling' is defined as selling a stock the seller does not own at the time of trade. As per the new framework, all classes of investors, viz., retail and institutional investors, shall be permitted to short-sell.

(*b*) *Key Regulations Governing Short Selling and Trading Practices in the Indian Securities Market*

Naked short Selling is prohibited in the Indian securities market, and all investors must fulfil their obligation to deliver securities during settlement. Institutional investors are not permitted to engage in day trading; their transactions are grossed at the custodians' level, and obligations must be met on a gross basis. Custodians, however, still settle deliveries with stock exchanges on a net basis.

Further, the securities traded in the F&O segment shall be eligible for short Selling. SEBI may review the list of stocks that are eligible for short-selling transactions from time to time.

(*c*) *SEBI Introduces Disclosure Framework for Short Selling*

In the context of short Selling, institutional investors must disclose whether a transaction is a short sale at the time of placing the order. On the other hand, retail investors have the flexibility to make a similar disclosure by the end of the trading day.

Also, the brokers are required to collect and upload scrip-wise short-sell position details to stock exchanges before the start of trading the next day. Stock exchanges will consolidate this information and share it on their websites weekly for public information, subject to periodic reviews approved by SEBI.

Conclusion:

SEBI's recent initiatives establish a comprehensive framework for market participants. The definition of short Selling is clarified, with both retail and institutional investors allowed to engage in such transactions. Stringent regulations prohibit naked short Selling, mandate delivery obligations, and impose specific rules on institutional investors, ensuring transparency and fairness.

Reference:

- *Master Circular No. SEBI/HO/MRD/MRD-PoD-3/P/CIR/2024/1, dated 5-1-2024.*

7. NFRA penalizes CA for failure to exercise due diligence in certifying Form 10DA

NFRA, in its Order No. 001/2024, dated 03-01-2024, has fined a CA with ₹50 Lakhs for failure to exercise due diligence and to obtain sufficient appropriate evidence in issuing certificate in Form 10DA regarding the correctness of deduction claimed by it under section 80JJAA of the Income-tax Act, 1961 to a listed company.

On receiving information from Director General of Income Tax (Investigation), Bengaluru (IT department), NFRA suo motu initiated action under Section 132(4) of the Companies Act, 2013 to look into the professional conduct of the Chartered Accountants about claim of deduction under section 80JJAA of the Income Tax Act totalling ₹1,135.41 crores by listed company based on form 10DA issued by two chartered accountants for three years. NFRA observed the following lapses-

(*a*) CA completely relied on the Management Representation Letter to verify the basic preconditions to deduction u/s 80JJAA: a business should not be formed due to the splitting up, reconstruction, or reorganization of any business. NFRA observed that CA failed to cross-check with the data in the company's annual report and provide the number of employees brought in before issuing the report in Form 10DA.

(*b*) CA failed to exclude the number of employees with respect to whom the 'entire contribution' was paid by the Government under the Pradhan Mantri Rojgar Protsaahan Yojana (PMRPY) scheme. CA wrongly interpreted the words' entire contribution' with 'entire period', failing to exclude the employees whose 'entire contribution' is paid by the Government even for a specific period of time in a year. This failure has resulted in excessive deduction u/s 80JJAA as against the intention of the legislature.

(*c*) NFRA observed that CA had determined the excessive number of additional employees for deduction under this section of the Income-tax Act. CA certifies that the company is eligible for deduction of ₹140.57 crores u/s 80JJAA in respect of 24,023 spill-over employees. However, he failed to verify the basic condition of the increase in the number of employees. The eligibility of employees will have to be evaluated in terms of all the provisions of section 80JJAA. NFRA observed an increase of only 4,827 employees during the year as against certification done by the CA for 24,023 employees.

(*d*) CA failed to verify payment of additional employee cost by account payee cheque/draft/electronic means and only relied on the Management Representation Letter from the company intimating that the additional employee cost was paid through prescribed mode of payment.

(*e*) CA failed to verify the employment contract (appointment letter) issued to new employees and placed excessive reliance on the company's internal financial controls for its workings. However, as a diligent professional, he was required to independently perform appropriate procedures to rule out any possibility of bifurcation of total emoluments to ensure that entire emoluments do not exceed the limit of ₹25,000, which he failed to do. This clearly shows a lack of due diligence on the part of CA.

Key takeaways from the NFRA's decision are as follows-

(*i*) NFRA seems to have taken the view that its jurisdiction not only extends to auditors of listed companies appointed u/s 139 of the Companies Act, 2013, but also to CAs appointed by listed companies to issue certificates under any other Act, such as the Income-tax Act, 1961.

(*ii*) CA abstains from placing excessive reliance on the Management Representation Letter (MRL) and instead performs appropriate procedures to ascertain compliance with the provisions of relevant Acts.

(*iii*) Cross-check facts with annual report/ public documents before issuing certificates to companies.

(*iv*) Excessive reliance on statutory audit reports on financial statements or reports of statutory auditors on IFC should not be placed while issuing certificates under the Income-tax Act, 1961.

Reference:

- *Order No. 001/2024, dated 3-1-2024.*

Deductions under Section 80JJAA as interpreted by NFRA

SRINIVASAN ANAND G.
CA

1. Introduction

India is a capital-scarce and labour-abundant country. However, the tax incentives in the Income-Tax Act, 1961("the Act") were skewed in favour of investment in capital assets rather than employing more hands. There were no tax incentives for employing more hands and generating jobs. To remedy this situation, section 80JJAA was inserted by the Finance (No.2) Act, 1998, with effect from 01.04.1999, to provide for deduction in respect of employment of new workmen. The Finance Act, 2016, substituted section 80JJAA with effect from assessment year 2017-18 and the marginal note of the substituted section reads "deduction in respect of employment of new employees"

Every assessee, earning business income and liable for tax audit, is eligible to claim a deduction under this provision for additional employee cost incurred in respect of new employees hired by the assessee. The deduction shall be allowed for 30% of the additional employee cost in three assessment years. Thus, the total deduction will be 90% of the additional employee cost (emoluments), spread over a period of three assessment years. The deduction under this section is in addition to the deduction for employee cost (emoluments) allowable u/s 37(1) of the Act in computing profits and gains from business or profession.

In its recent decision in Order No.001/2024, dated 03-01-2024, NFRA has fined a CA ₹ 50 Lakhs for lapses in issuing certificate to a listed company in Form 10DA with regard to the correctness of deduction claimed by it under section 80JJAA of the Income-tax Act, 1961. NFRA took this action on information shared by the Director General of Income

Tax (Investigation), Bengaluru (IT department) NFRA Suo motu initiated action under Section 132(4) of the Companies Act, 2013 ('Act' hereafter) to look into the professional conduct of the chartered accountants and their firms involved in the said certification. After its probe and hearing CA Pawan Jain, the NFRA held that CA failed to exercise due diligence and obtain sufficient information before issuing reports under the Income Tax Act. And consequently, NFRA imposed the fine on the CA.

Whether the NFRA had jurisdiction to pass the Order it did is entirely a different matter and has been dealt with in the article at the following link

https://www.taxmann.com/research/company-and-sebi/top-story/105010000000023608/whether-nfras-jurisdiction-us-1324-of-the-companies Act 2013-extend-to-auditors-of-a-listed-company-other-than-statutory-auditors-experts-opinion

NFRA's jurisdiction is not the subject matter of the present article. What is relevant about the NFRA's decision is that section 80JJAA has been interpreted by the NFRA in the case. The provisions of section 80JJAA are discussed in the light of NFRA's interpretation in Order No. 001/2004

2. Who can claim this deduction?

Any assessee, whose gross total income includes any profits and gains derived from business and to whom section 44AB applies (*i.e.* is liable for tax audit), is entitled to claim deduction under this provision. The deduction under this provision is available when an assessee hires additional employees/ new employees.

As Section 80JJAA(1) uses the words "profits and gains derived from business" rather than "profits and gains from business or profession", a question arises whether an assessee carrying on profession can claim the deduction u/s 80JJAA? This question arises particularly as section 80JJAA(1) refers to section 44AB and that section makes a distinction between business and profession by prescribing separate gross receipts threshold limit for tax audits of persons carrying on business and persons carrying on profession.

CBDT's Explanatory Notes on Finance Act, 2016, in *Circular No.3/2017, dated 20-1-2017*, explain the rationale of substituted section 80JJAA as "With a view to encourage employment generation and **provide incentive to all sectors**". The Explanatory Memorandum to Finance Bill, 2016 also states that the objective of substituting section 80JJAA is "**With a view to extend this employment generation incentive to all sectors"**. This is also clear from replacement of "new workmen" with "new employees" in the marginal note in the substituted section. Also, omission of references to "factory", manufacture of goods in a factory in from substituted section ,which were there in the section as originally enacted in 1998, show an unmistakable intent to extend the employment generation incentive in section 80JJAA to all sectors including professional services. Therefore, it is possible to take a view that section 80JJAA also applies to persons carrying on a profession who is liable to tax audit.

The Notes on Clauses to Finance Bill, 2016 clarifies that "***It is proposed to extend the benefit to all assessees who are required to get their accounts audited under section 44AB***."

The Finance Minister's Budget Speech of Union Budget, 2016, clarifies that "The deduction will be available not only to assessees deriving income from manufacture of goods in a factory *but to all assessees who are subject to statutory audit under the Act*. [Para 67 of the Union Budget Speech, 2016]

It is sufficient if section 44AB applies to the assessee. If any one business of assessee is liable for tax audit u/s 44AB, section 80JJAA will apply to all businesses of the assessee including those whose profits are offered for tax under Presumptive Tax schemes.

Suppose,

- An assessee has more than one business;
- business 'A' is regular business where tax audit is applicable; and
- business 'B' to which presumptive taxation scheme applies and hence, tax audit is not applicable;
- can such assessee claim deduction?

In such circumstances, section 44AB applies to the assessee. Therefore, it appears that the assessee can claim deduction under the section in respect of an additional employee cost incurred in course of either business 'A' or business 'B' or both.

3. Whether deduction available under Alternative Tax Regime?

Alternative tax regime	*Nature of assessee*	*Whether deduction is available*
Section 115BA	Company	Yes
Section 115BAA	Company	Yes
Section 115BAB	Company	Yes
Section 115BAC	Individual or HUF	Yes
Section 115BAD	Co-operative Society	Yes
Section 115BAE	Co-operative Society	Yes

4. Conditions to be satisfied for deduction under this section

Apart from the condition that assessee must be liable to tax audit u/s 44AB, the allowability of deduction is subject to fulfilment of the following conditions:

(*a*) The business should not be formed by splitting up or reconstruction of an existing business. However, where a business is formed as a result of re-establishment, reconstruction or revival in the circumstances and within the period specified in section 33B, this condition shall not be applicable;

In this connection, the relevant provision of section 33B broadly states as follows :

- The business is discontinued by reason of extensive damage to or destruction of, any building, machinery, plant or furniture owned by the assessee and used for the purpose of such business as a result of:
  - Flood, typhoon, hurricane, cyclone, earthquake or other convulsion of nature;
  - riot or civil disturbance;
  - accidental fire or explosion;
  - action by an enemy or action taken in combating an enemy (whether with or without declaration of war).
- Such business is re-established, reconstituted or revived by the assessee at any time before the expiry of three years from the end of such previous year.

(*b*) The business should not be acquired by way of transfer from any person or as a result of any business reorganization;

(*c*) Assessee is required to furnish the report of an accountant (CA) electronically in Form 10DA. It is required to furnish this report one month before the due date of furnishing the return of income i.e. on or before 30th September of the relevant assessment year. It may be noted that this report is in addition to tax audit report u/s 44AB in Form 3CA and Form 3CD or Form 3CB and Form 3CD which is required to be e-filed on or before the 30th September of the relevant assessment year. Deduction will not be available where only tax audit report is e-filed showing deduction as admissible u/s 80JJAA in clause 33 of Form No.3CD without e-filing also report in Form 10DA.

There is no stipulation that section 80JJAA shall apply only to new businesses. It applies to existing business as well, as can be seen from the *Explanation (i)* below section 80JJAA(2). Since section 80JJAA applies to existing businesses also and not merely to new business, violation of condition (*a*) or condition (*b*) above will not result in denial of deduction u/s 80JJAA. Only that the employees brought in from amalgamation or merger or splitting up or reconstruction will have to be excluded in computing the deduction. NFRA's recent order 001/2024 supports this view. Further, the deduction of business formed by splitting up or reconstruction of existing business will be computed as if it were existing business and not as new business.

5. How much deduction is allowed?

An amount equivalent to 30% of the additional employee cost incurred by the assessee is allowed as deduction. The deduction is allowed in three assessment years, commencing from the assessment year relevant to the previous year in which additional employment is provided. The amount available as a deduction under this provision is in addition to the expenditure on wages or salary which is otherwise allowable as business expenditure under Section 37(1).

"Additional employee cost" means the total emoluments paid or payable to **additional employees** employed during the previous year. [*Explanation (i)* below Section 80JJAA(2)]

In a case of an existing business, additional employee cost shall be *nil* in the following situations:

(*a*) There is no increase in the number of employees from the total number of employees as on the last date of the preceding year;

(*b*) Emoluments are paid by any mode other than by an account payee cheque or account payee bank draft or by use of electronic clearing systems through a bank account or through other prescribed electronic modes.[First proviso to *Explanation (i)*]

In case of a new business, emoluments paid or payable to employees employed during the first year of business shall be deemed to be the additional employee cost. [Second proviso to *Explanation (i)*]

Thus, Computation of deduction under this section involves the following two aspects:

- Employees who qualify as "additional employees";
- Qualifying payments to qualifying additional employees;

6. Employees who will qualify as "additional employees"

The section distinguishes "employees" and "additional employees". It does not define "employee" but defines "additional employee". Any individual who is not an employee cannot qualify as an additional employee. Employee is an individual with whom there is a contract of services with assessee-employer as distinct from contract for services. The term "employee" covers all employees whether regular or casual or temporary. This is clear from the fact that old section 80JJAA provisions refer to regular workmen while present Section 80JJAA does not refer to regular workmen or regular employees.

Additional employee is an employee who satisfies ALL the following conditions:

- His total emoluments are less than or equal to ₹ 25,000 per month.
- He participates in recognised PF (PF contribution not includible in emoluments for computing limit of ₹25,000 per month).

- Entire contribution for him under the Employees' Pension Scheme is NOT paid by the Government.
- He is employed for 240 days or more in the previous year (150 days or more the case of an assessee who is engaged in the business of manufacturing of apparel or footwear or leather products).

'Spillover additional employees'

- Where an employee is employed during the previous year for a period of less than 240 days or 150 days, as the case may be, but is employed for a period of 240 days or 150 days, as the case may be, in the immediately succeeding year, he shall be deemed to have been employed in the succeeding year and the provisions of this section shall apply accordingly.
- Such employees may be conveniently referred to as 'spillover additional employees'

7. Employees who do not qualify as "additional employees"

The following employees will not qualify as additional employees:

(*a*) an employee whose total emoluments are more than ₹25000 per month; or

(*b*) an employee for whom the entire contribution is paid by the Government under the Employees' Pension Scheme notified in accordance with the provisions of the Employees' Provident Funds and Miscellaneous Provisions Act, 1952 (19 of 1952); or

(*c*) an employee employed for a period of less than 240 days during the previous year (150 days or more the case of an assessee who is engaged in the business of manufacturing of apparel or footwear or leather products); or

(*d*) an employee who does not participate in the recognised provident fund:

7.1 Employee whose emoluments are more than ₹25000 per month-

"Emoluments" means any sum paid or payable to an employee in lieu of his employment by whatever name called, but does not include—

(*a*) any contribution paid or payable by the employer to any pension fund or provident fund or any other fund for the benefit of the employee under any law for the time being in force; and

(*b*) any lump sum payment paid or payable to an employee at the time of termination of his service or superannuation or voluntary retirement, such as gratuity, severance pay, leave encashment, voluntary retrenchment benefits, commutation of pension and the like.

Deduction under the said provisions shall be available in respect of cost incurred on any employee whose total emoluments are less than or equal to twenty five thousand rupees per month. No deduction, however, shall be allowed in respect of cost incurred on those employees, for whom the entire contribution under Employees' Pension Scheme notified in accordance with Employees' Provident Fund and Miscellaneous Provisions Act, 1952, is paid by the Government. [CBDT's *Circular No. 3/2017, dated 20-1-2017*]. Thus, it is clear that for deduction to be allowable of emoluments to such employee, he should also satisfy other conditions (employed for 240 days/150 days during the year, member of recognized PF and entire contribution in respect of him not borne.

From the CBDT Circular, it is also clear that the ₹25000 per month limit applies not only to the previous year in which employee is hired but also to the immediately succeeding 2 assessment years.

7.2 Employee for whom the entire contribution is paid by the Government under the Employees' Pension Scheme-

The scope of the term "additional employee" does not cover Employee for whom the entire contribution is paid by the Government under the Employees' Pension Scheme. Sub-section (2) of section 80JJAA of the IT Act, bars the deduction on account of employees, for whom the **'entire contribution'** was paid by the Government under the Employees' Pension Scheme under EPF&MP Act.

NFRA in its Order No.001/2024 held that Section 80JJAA does not use the words **'entire period'.** Therefore, in case "entire contribution" in respect of an employee has been paid by the Government for a specific period, then also the Taxpayer is not entitled for deduction u/s 80JJAA in respect of that employee for that specific period. As per EPS, 8.33% is paid by the employer and 1.16% is paid by the Central Government. However, to incentivize employment generation, under Pradhan Mantri Rojgar Protsahan Yoajana(PMRPY) scheme, the employer share is also paid by the Central Government. Therefore, the words 'entire contribution' refers to both 8.33% paid by employer and 1.16% paid by the Central Government.

Rule 4 of the Scheme provides that the Central Government shall pay the contribution payable to the Employees' Pension Fund in respect of an employee who is a person with disability under the Persons with Disabilities (Equal Opportunities, Protection of Rights and Full Participation) Act, 1995 and under the National Trust for Welfare of Persons with Autism, Cerebral Palsy, Mental Retardation and Multiple Disabilities Act, 1999 respectively, up to a maximum period of 3 years from the date of commencement of membership of the Fund.

7.3 'Spillover additional employees'-

NFRA in its Order No.001/2024 held that the second proviso to Explanation (ii) merely states that when a new employee is employed for less than 240 days in one FY but is employed for 240 days in the subsequent FY, then he will be deemed to have been employed in the subsequent year and the provisions of the section shall apply. This does not automatically entitle spill over candidates and their eligibility will have to be evaluated in terms of all the provisions of section 80JJAA of the Income-tax Act. It will have to be evaluated whether spillover employee's emoluments do not exceed the ₹25,000 per month limit, whether spillover employee is member of RPF and whether entire EPS contribution of spillover employee is met by Central Government.

8. Qualifying payments to qualifying additional employees

This needs to examined with reference to :

- Existing business
- First year of new business
- Scope of the term "emoluments"

9. Existing Business

"Additional employee cost" means the total emoluments paid or payable to **additional employees** employed during the previous year. However, the first proviso to *Explanation (ii)* provides that in the case of an existing business, the additional employee cost shall be *nil*, if—

(*a*) there is no increase in the number of employees from the total number of employees employed as on the last day of the preceding year;

(*b*) emoluments are paid otherwise than by an account payee cheque or account payee bank draft or by use of electronic clearing system through a bank account or through such other electronic mode as may be prescribed. The prescribed electronic modes as per Rule 6ABBA of the Income-tax Rules, 1962 are:

- Debit card
- Credit card
- Net Banking
- IMPS(Immediate Payment Service);

- UPI(United Payment Interface)
- RTGS (Real Time Gross Settlement)
- NEFT(National Electronic Funds Transfer)
- BHIM(Bharat Interface for Money)
- Aadhaar Pay

9.1 No increase in the number of employees from the total number of employees as on the last date of the preceding year

Clause *(a)* of First proviso to *Explanation (i)* provides that additional employee cost of an existing business shall be treated as Nil if "There is no increase in the number of employees from the total number of employees as on the last date of the preceding year". Important point to be noted is that the condition refers to increase "employees" and not to increase in "additional employees". CBDT's Explanatory Notes on Finance Act, 2016, in *Circular No.3/2017, dated 20-1-2017*, clarify that "*any increase in the number of employees will be eligible for deduction under the new provisions*".

So long as there is increase in number of employees vis a vis the strength as at 31st March of the immediately preceding previous year, additional employee cost will not be treated as NIL even if increase in employees is of employees not qualifying as additional employees (e.g. employees whose emoluments exceed ₹25000 per month limit, employees who are not members of Recognised PF, employees whose entire contribution is paid by Central Government and employees who are employed for less than 240 days/150 days). In such case, employer-assessee will get deduction of 30% of additional employee cost incurred during the previous year in respect of emoluments paid to additional employees employed during the immediately preceding two financial years.

NFRA in its Order No. 001/2024 has opined as under:

- Employees coming in through mergers/amalgamations/transfer of business/splitting/reconstruction of existing business will not be counted in order to determine whether number of employees has increased.
- If there is a decrease in number of employees during the previous year in question , it will not be treated as decrease if decrease is offset or more than offset by numbers of spillover additional employees recruited in immediately preceding financial year.

9.2 Condition that emoluments must be paid by prescribed modes of payment

Clause (*b*) of the First proviso to *Explanation (ii)* provides that in the case of an existing business, the additional employee cost shall be *nil,* if emoluments are paid otherwise than by an account payee cheque or account payee bank draft or by use of electronic clearing system through a bank account or through such other electronic mode as may be prescribed. At first blush, it appears that even if small amount is paid by other than any of the prescribed modes of payment, the entire deduction for the previous year will be lost to an existing business. However, Clause 5(I)(*d*) requires furnishing of Annexure to Form 10DA requires the certifying CA to furnish "Total amount of emoluments ** paid or payable to additional employee entitled for deduction u/s 80JJAA" . Note 3 to Form 10DA which is applicable to Clause 5(I)(d) (*iii*) and Clause 5(II) of Annexure to Form 10DA clarifies that "The amount shall not include the emoluments, paid otherwise than by an account payee cheque or account payee bank draft or by way of a electronic clearing system through a bank account or through such other prescribed electronic mode." Thus, total amount of emoluments stated against Clause 5(I)(*d*) shall include only emoluments paid by prescribed mode. Emoluments paid otherwise than by prescribed modes (e.g. emoluments paid in cash) shall be excluded from Clause 5(I)(*d*). Thus, deduction will not be denied to entire emoluments if part of it is paid other than by prescribed modes. Deduction will be denied only in respect of the part of the amount paid otherwise than by prescribed modes.

It may be noted that for deductibility of emoluments under section 37(1), the deduction denial u/s 40A(3) applies only to cash payments above the limit of ₹ 10,000 in a day. There is no such cut-off for denial of additional 30% deduction u/s 80JJAA. Any amount of emoluments paid in cash, irrespective of size, will not qualify for section 80JJAA deduction.

10. First year of new business

"Additional employee cost" means the total emoluments paid or payable to additional employees employed during the previous year. However, the second proviso to *Explanation (ii)* provides that in the *first year of a new business*, emoluments paid or payable to **employees** employed during that previous year shall be deemed to be the additional employee cost.

10.1 Whether emoluments paid to all employees employed during first year of new business will be eligible for deduction or only emoluments paid to additional employees will be deductible?

It may be noted that the second proviso uses the word "employees" and not the words "additional employees". Moreover, it uses the words "shall be deemed to be the additional employee cost". Thus, it appears that emoluments paid to employees employed in first year of new business shall qualify for deduction u/s 80JJAA regardless of whether the employees are "additional employees" or not.

CBDT Circuar No.3/2017, dated 20-1-2017, reinforces the above view. Para 18.4 of the said Circular clarifies as under:

It is also provided that in the first year of a new business, thirty per cent of all emoluments paid or payable to the employees employed during the previous year shall be allowed as deduction.

The *Explanatory Memorandum* to the Finance Bill, 2016 also clarifies that "It is also proposed to provide that in the first year of a new business, thirty per cent of all emoluments paid or payable to the employees employed during the previous year shall be allowed as deduction."

Neither the Circular nor the Explanatory Memorandum uses the words "additional employees". Both refer to "the employees employed during the previous year".

However, Clause 5(II) of Form 10DA requires the certifying CA to furnish "In case of a new business, 30% of emoluments ** paid or payable to additional employees employed during the first year of business #". Therefore, the word "employees" in second proviso is required to be construed as "additional employees". It is not clear how a Form notified under Rules(delegated legislation) can override requirements of the Section of the Act (Supreme Legislation) or CBDT's clarifications. However, certifying CA may rely on CBDT's Circular and *Explanatory Memorandum* and furnish figures of emoluments paid to all employees and not just payments to 'additional employees' during the first year of new business and report accordingly in Clause 5(II) of Form DA and state the fact that he has done so by giving a note in Clause 6 of Form 10DA (Remarks, if any).

10.2 "New Business"-what it means

Question arises what is "new business". Clearly, any business formed by splitting up or reconstruction of an existing business will not qualify as "new business" for second proviso unless it falls within the exceptions in section 33B.

10.3 Whether stipulation as to prescribed modes of payment of emoluments applies to new business in first year?

Another question arises here. There is no stipulation as to mode of payment of emoluments in second proviso in first year of business. Therefore, whether clause (*b*) of first proviso to *Explanation (ii)* as regards prescribed mode of payment of emoluments also applies to first year of a new business?

Clause 5(II) of Form 10DA requires the certifying CA to furnish "In case of a new business, 30% of emoluments ** paid or payable to additional employees employed during the first year of business #". Note 3 to Form 10DA which is applicable to Clause 5(I)(*d*)(*iii*) and Clause 5(II) of Annexure to Form 10DA clarifies that "The amount shall not include the emoluments, paid otherwise than by an account payee cheque or account payee bank draft or by way of a electronic clearing system through a bank account or through such other prescribed electronic mode." Thus, total amount of emoluments stated against Clause 5(II) shall include only emoluments paid by prescribed mode.

11. Emoluments

'*Emoluments*' means any sum paid or payable to an employee in lieu of his employment by whatever name called. However, it does not include the following:

(*a*) Employer's contribution to the pension fund or provident fund or any other fund for the benefit of the employee under any law;

(*b*) Lump-sum payment paid or payable at the time of termination of service or superannuation or voluntary retirement such as gratuity, severance pay, leave encashment, voluntary retrenchment benefits, commutation of pension and the like.

In common parlance, the emolument is wholesome expression what one gets from the employer for services rendered in whatever form. Literally, it is wider than salary. Apart from the periodical wages/salaries, it may also include other benefits attached to the employment as perquisites, advantage flowing from such employment, etc[1] . Thus, having regard to the general meaning of the word 'emolument', it may include the perquisite or other non-monetary benefits. However, for the purpose of the section, it defines the emolument to mean any sum paid or payable to an employee. It implies that some sort of payment is essential and therefore, non-monetary benefits are not to be considered as emolument.

Example, Mr. X, being an additional employee, entitled to following benefits during the year. In view of the definition, the emolument can be worked-out as under:

Nature of payment (per month)	*Amount due to employee (in ₹)*
Basic salary/wages	1,20,000
Dearness allowances	24,000
Bonus	12,000
House Rent Allowances	36,000
Other allowances	12,000
Perquisites	25,000
Commission	25,000
Leave encashment	2,500
Commutation of pension	1,50,000
Gratuity	2,00,000
Voluntary retrenchment benefits	3,50,000
Employers contribution to pension fund/provident fund	10,000
Total amount payable to employee	**9,66,500**
Less: Exclusion from emoluments	
Perquisites	(-)25,000
Leave encashment*	(-)2,500
Commutation of pension*	(-)1,50,000
Gratuity*	(-)2,00,000
Voluntary retrenchment benefits	(-)3,50,000
Employers contribution to pension fund/provident fund	(-)10,000
Total emolument	**2,29,000**
Total deduction allowable under the section (30% of above)	**68,700**

**It should be noted that payments like leave encashment, gratuity, commuted pension, etc., to be excluded only if they are paid at the time of termination of service and not otherwise.*

Whether NFRA's jurisdiction under Companies Act extend to auditors of a listed company other than Statutory Auditors?

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1. Background to the Controversy: NFRA's recent Order 001/2024, Dated 3-1-2024

In its recent decision, the NFRA *vide.* Order No.001/2024, dated 3-1-2024, levied a ₹50 Lakhs penalty on a Chartered Accountant for deficiencies in issuing a Form 10DA certificate to a listed company concerning its deduction claim under section 80JJAA of the Income-tax Act, 1961. The NFRA took this action on information shared by the Director General of Income Tax (Investigation), Bengaluru (IT department). The NFRA *Suo motu* initiated action under Section 132(4) of the Companies Act, 2013 ('Act' hereafter) to look into the professional conduct of the chartered accountants and their firms involved in the said certification. After its probe and hearing CA Pawan Jain, the NFRA held that CA failed to exercise due diligence and obtain sufficient information before issuing reports under the Income Tax Act. And consequently, NFRA imposed the fine on the CA.

2. NFRA has taken the view that its powers u/s 132(4) extends also to auditors appointed by a listed company under other Acts

This decision raises the question as to whether Section 132(4) of the Companies Act, 2013 empowers the National Financial Reporting Authority (NFRA) to probe lapses of auditors of a listed company where they are appointed under provisions of an Act other than Companies Act, 2013 to issue certificates under that Act?

For instance, can the NFRA initiate action against a CA/CA firm appointed to issue a certificate to a listed company in

Form 10DA to enable the company to claim a deduction under section 80JJAA of the Income-tax Act, 1961 ?

NFRA has taken the view that its jurisdiction to probe Professional misconduct of CAs/CA firms not only extends to statutory auditors of listed companies appointed u/s 139 of the Companies Act, 2013 but also to CAs/CA firms appointed by listed company to issue certificates under any other Act such as the Income-tax Act, 1961. In Para 6 of the Order, NFRA has held that "NFRA is empowered under Section 132(4) of the Act to investigate professional misconduct or other misconduct of individual members or firms of chartered accountants associated with prescribed classes of companies and sanction them where such misconduct is proved".

The question does arise whether this view of NFRA is supported by section 132(4) and the NFRA Rules, 2018.

3. Provisions of Section 132(4)(a) of Companies Act, 2013

Section 132(4)(*a*) of the Companies Act, 2013 reads as under:

(4) Notwithstanding anything contained in any other law for the time being in force, the National Financial Reporting Authority shall—

(*a*) have the power to investigate, either *suo motu* or on a reference made to it by the Central Government, *for such class of bodies corporate or persons, in such manner as may be prescribed* into the matters of professional or other misconduct committed by any member or firm of chartered accountants, registered under the Chartered Accountants Act, 1949 (38 of 1949):

In view of the words "for such class of bodies corporate or persons, in such manner, as may be prescribed", the scope of NFRA's power under section 132(4)(*a*) depends on the Rules notified under section 132(4)(*a*). The Central Government has notified the National Financial Reporting Authority Rules, 2018 (NFRA Rules, 2018) under section 132(4).

4. Relevant provisions of the NFRA Rules, 2018

Rule 3 of the NFRA Rules, 2018 deals with Classes of companies and bodies corporate governed by the Authority. Rule 3(1) provides as under:

quot; 3(1).The Authority shall have power to monitor and enforce compliance with accounting standards and auditing standards, oversee the quality of service under sub-section (2) of section 132 *or undertake investigation under sub-section (4) of such section of the auditors of the following class of companies and bodies corporate, namely:—*

(*a*) companies whose securities are listed on any stock exchange in India or outside India;

(*b*) unlisted public companies having paid-up capital of not less than rupees five hundred crores or having annual turnover of not less than rupees one thousand crores or having, in aggregate, outstanding loans, debentures and deposits of not less than rupees five hundred crores as on the 31st March of immediately preceding financial year;

(*c*) insurance companies, banking companies, companies engaged in the generation or supply of electricity, companies governed by any special Act for the time being in force or bodies corporate incorporated by an Act in accordance with clauses (b), (c), (d), (e) and (f) of sub-section (4) of section 1 of the Act;

Explanation—*For the purpose of this clause, "banking company" includes 'corresponding new bank' as defined in clause (d) of section 2 of the Banking Companies (Acquisition and Transfer of Undertakings) Act, 1970*

(5 of 1970) and clause (b) of section 2 of the Banking Companies (Acquisition and Transfer of Undertakings) Act, 1980 (40 of 1980) and 'subsidiary bank' as defined in clause (k) of section 2 of the State Bank of India (Subsidiary Bank) Act, 1959 (38 of 1959).

(*d*) any body corporate or company or person, or any class of bodies corporate or companies or persons, on a reference made to the Authority by the Central government in public interest; and

(*e*) a body corporate incorporated or registered outside India, which is a subsidiary or associate company of any company or body corporate incorporated or registered in India as referred to in clauses (*a*) to (*d*), if the income or networth of such subsidiary or associate company exceeds twenty per cent, of the consolidated income or consolidated net worth of such company or the body corporate, as the case may be, referred to in clauses (*a*) to (*d*)."

Apparently, Rule 3(1)(*a*) only refers to the jurisdiction of NFRA over auditors or auditors of listed companies under section 132(4). It does not specify anything as regards auditor or auditors appointed under which Act ?. However, Rule 2(1)(*d*) defines "auditor" as under:

"(*d*) "auditor" means an individual or a firm including a limited liability partnership incorporated under the Limited Liability Partnership Act, 2008 (6 of 2009) or any other Act for the time being in force, who has been appointed as an auditor of a company or a body corporate **under section 139 of the Act or under any other Act for the time being in force**;"

The term "auditor" in Rule 3(1) refers to auditor as defined in Rule 2(1)(*d*). Of course, the definition is prefaced by the phrase "In these rules, unless the context otherwise requires,—". However, there is nothing to indicate in Rule 3 expressly or by implication that the term "auditor" for the purposes of Rule 3 shall be understood differently from the definition given in Rule 2(1)(*d*)

Therefore, Rule 2(1)(d) of NFRA Rules, 2018 appears to have clinched the issue that NFRA's jurisdiction under section 132(4) not only applies to the statutory auditor of a listed company appointed under section 139 of the Companies Act, 2013 but also to auditors appointed under any other Act for the time being in force. The words "any other Act for the time being in force" seem to cover the Income-tax Act, 1961 also. However, one cannot hastily rush to this conclusion on what appears on first brush. Though the word "any" casts the net far and wide, its width is curtailed by the text and the context. Therefore, we need to examine the phrase **"or under any other Act for the time being in force"** in the light of the text of provisions of NFRA Rules, 2018 taken as a whole in the proper context.

5. What do the words "or under any other Act for the time being in force" mean?

The decision of the Supreme Court on Article 370 of the Constitution (Judgment dated 11-12-2023) clearly shows that:

(1) Any provision in the Constitution or any statute must be interpreted in the light of the text and the context.

(2) All the provisions and clauses in an Article or Section are to be taken together and read as a whole in arriving at a textual interpretation.

Applying the above principles, the following points emerge:

(1) ***Scope of NFRA Jurisdiction: Limited to Audits of Financial Statements:*** Rule 5 deals with annual returns to be filed by auditors covered under NFRA's jurisdiction. Rule 3 provides that Every auditor referred to in rule 3 shall file a

return with the Authority on or before *30th November every year in Form NFRA-2*. Item 13 of Form NFRA-2 requires furnishing of "Period covered by the financial statements that were the subject of the audit report (dd/mm/yyyy) to (dd/mm/yyyy)". This clearly shows that NFRA's jurisdiction extends only to audit of financial statements. Financial statements will have the same meaning as in 2(*40*) of the Companies Act, 2013. The term covers balance sheet, profit and loss account, cash flow statement, SOCIE and notes to accounts. Clearly, it does not envisage certification assignments which do not involve audit of financial statements.

(2) ***Defining 'Auditor' and its Context within Standards on Auditing*** : Rule 2(1)(*d*) defines "auditor" as " auditor means an individual or a firm including a limited liability partnership …. who has been appointed as an auditor….." This does not define who an auditor is. According to the definition, auditor is someone appointed as auditor. That is auditor is someone appointed to discharge the duties and functions of auditor. Therefore, the word must be understood in the light of Standards on Auditing. The Standards on Auditing(SAs) are mandatory under section 143(9) of the Companies Act, 2013.

(3) ***SA 200: Contextualizing 'Auditor' as Pertaining to Financial Statements*** : Para 2 of SA 200 "**Overall Objectives of the Independent Auditor and the Conduct of an Audit in Accordance with Standards on Auditing" states that "**SAs are written in the context of an audit of financial statements by an auditor. "[para 2] Further, Para 3 deals with an audit of financial statements. Para 3 states that "The purpose of an audit is to enhance the degree of confidence of intended users in the financial statements. This is achieved by the expression of an opinion by the auditor on whether the financial statements are prepared, in all material respects, in accordance with an applicable financial reporting framework. In the case of most general purpose frameworks, that opinion is on whether the financial statements are presented fairly, in all material respects, or give a true and fair view in accordance with the framework.". Therefore, clearly, "auditor" means "auditor of financial statements".

(4) ***Contextualizing 'Practitioner's Report' v. 'Auditor's Report' under SA Standards:*** In context of certification work where expression of opinion on true and fair view of financial statements is not involved like certificate in Form 10DA, the report is referred to as "Practitioner's Report" by the certifying CA/CA firm as required by Guidance Note on Reports or Certificates for Special Purposes and not as auditor's report. Standards on Auditing apply in entirety to audits of financial statements. To certification work like Form 10DA, they are applicable with suitable modifications only. The mandate of NFRA is with reference "to monitor and enforce compliance with auditing standards". By default, the word "audit" refers to audit of financial statements for expressing opinion on their true and fair view and "auditor" is used in that context.

(5) ***Interpreting NFRA's Jurisdiction: Applicability to Auditor Appointments under Acts other than Companies Act:*** The words "or under any other Act for the time being in force" in Rule 2(1)(D) should not be read in isolation, as the NFRA seems to have done. It should be read as "who has been appointed as an auditor of a company or a body corporate under section 139 of the Act or under any other Act for the time being in force". When so read, it is clear that the words "under section 139" refers to

appointment of statutory auditors under section 139 of the Companies Act, 2013 while the words "under any other Act for the time being in force" apply to body corporate to refer to appointment of statutory auditors of body corporate under provisions equivalent to section 139 in the Act applicable to body corporate. It is clear that the words "or under any other Act for the time being in force" is used in Rule 2(1)(*d*) because Rule 3(1) extends NFRA's jurisdiction to bodies corporates or Companies covered by any special act. Rule 3(1) extends NFRA's jurisdiction to banking companies also which term includes nationalised banks and subsidiaries of State Bank of India. These entities are not governed by section 139 of the Companies Act, 2013. For example, appointment of statutory auditors of nationalised banks is governed by section 10 of the Banking Companies (Acquisition and Transfer of Undertakings) Act, 1970/section 10 of the Banking Companies (Acquisition and Transfer of Undertakings) Act of 1980]. The appointment of statutory auditors of subsidiaries of SBI is made under section 41 of the State Bank of India (Subsidiary Banks) Act, 1959. Applying the principle of *ejusdem generis* ,the words "under any other Act" is intended to cover the appointment of a statutory auditor to audit financial statements of a body corporate or company to express a true and fair view under provisions of other applicable Acts such as section 10 of the Banking Companies (Acquisition and Transfer of Undertakings) Act, 1970/ section 10 of the Banking Companies (Acquisition and Transfer of Undertakings) Act of 1980/section 41 of the State Bank of India (Subsidiary Banks) Act, 1959. Certification under section 80JJAA of the Income-tax Act, 1961 does not involve the expression of opinion of true and fair view on financial statements.

Thus, it is submitted with great respect that the text and context of the provisions of NFRA Rules, 2018 do not justify such an expansive interpretation of to the words "or under any other Act for the time being in force" as the NFRA has done.

6. Conclusion

It is submitted with great respect that, as per the text and context of NFRA Rules, NFRA has jurisdiction only over statutory auditors of companies covered by Rule 3 of NFRA Rules appointed under section 139 of the Companies Act, 2013 and over statutory auditors of bodies corporate (other than companies) appointed under any other Act applicable to such bodies corporate. The words "or under any other Act for the time being in force" cannot be read as conferring jurisdiction to NFRA over auditors appointed for certification work under the Income-tax Act, 1961 like certification of Form 10DA where audit of financial statements is not involved.

Section 80JJAA: Some controversial issues

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In the dynamic landscape of India's economic policies, certain provisions stand out as catalysts for change. Among these is Section 80JJAA of the Income-tax Act ("ITA"), 1961 — a provision designed not only to benefit businesses but to foster employment generation, aligning with the nation's vision for inclusive growth.

By providing a tax deduction, the government aims to encourage employers to generate new employment opportunities, incentivize employers to hire more people and thereby reduce the rate of unemployment in the country.

Section 80JJAA was inserted in the Income-tax Act by Finance Act, 1998 w.e.f. 1-4-1999. The associated lack of clarity is manifested by frequent amendments carried out in this section. The Finance Act, 2016 brought fundamental changes in the course of claiming deduction under this section.

Let's examine a concise overview of the section both before and after the amendment:

Basis	*Before Finance Act, 2016*	*After Finance Act, 2016*
Eligible Assessee	**Indian company** being an **industrial undertaking** engaged in the **manufacture or production** of article of thing.	**All assessees** who are required to get their accounts audited under **section 44AB** and whose gross total income includes any **profits and gains** derived from **business**.
Additional Cost	Deduction of an amount equal to **30%** of **Additional Wages** paid to **New Regular Workmen** employed in any previous year.	Deduction of an amount equal to **30%** of **Additional Employee Cost** paid to **Additional Employees** employed in any previous year.

Basis	Before Finance Act, 2016	After Finance Act, 2016
Period of Employment of Additional Employee/Workmen	Workman shall be in employment for at least **300 days** during the year	Employee shall be in employment for at least **240 days** (**150 days** in case of business of manufacturing of apparel or footwear or leather products) during the previous year
Conditions	The increase in the number of regular workmen should be **at least 10 per cent** of the existing number of workmen and further that the number of workmen hitherto in employment was **at least 100 (later reduced to 50)**	There must be increase in total number of employees as on the last day of the preceding year and emoluments of such additional employees must be less than **₹ 25,000 per month** and participating in **Recognised Provident Fund.**
New Businesses	Deduction shall be available of wages paid to workmen over and above 100 (reduced to 50). The number of such workmen must be at least 100 (reduced to 50)	Deduction shall be available of all emoluments paid or payable to employees employed during that year.
Wages v/s Emoluments	Wages **paid not payable** to new regular workmen employed during the previous year. Wages can be paid by cash or bank or any other electronic modes.	**Emoluments** means any sum **paid or payable** to an employee in lieu of his employment but excludes— ◆ any contribution paid or payable by the employer to any **pension fund or provident fund** or any other fund, and ◆ any **lump sum payment** paid or payable to an employee at the time of termination of his service or superannuation or voluntary retirement. These must be paid by an account payee cheque or account payee bank draft or by use of electronic clearing system or other prescribed electronic modes.

Let's delve into the amended section, illustrating key points and issues abounded in nooks and crannies of this section.

Deduction in respect of Employment of New Employees—

Where the gross total income of an assessee to whom **section 44AB applies**, includes any **profits and gains derived from business**, there shall, subject to the conditions specified in sub-section (2), be allowed a deduction of an amount equal to **thirty per cent of additional employee cost** incurred in the course of such business in the previous year, for **three assessment years** including the assessment year relevant to the previous year in which such employment is provided.

Restrictions for claiming deduction

(*a*) Business was formed by **splitting up, or the reconstruction of the existing business** except under circumstances specified in section 33B

(*b*) Business was acquired by the assessee by **way of transfer** from any other person or as a result of any business reorganization

(*c*) Unless the assessee furnished **report of practicing Chartered Accountant in Form**

10DA before specified date referred to in Section 44AB along with the Return of Income (discussed later in this article)

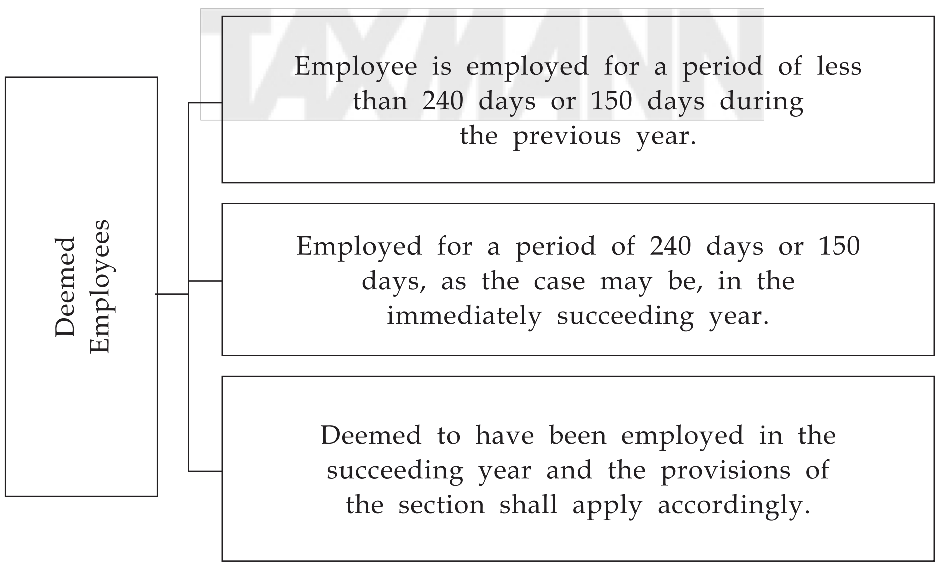
The term "**Additional Employee Cost**" refers to the total compensation **paid or payable** to employees hired in the previous year. For **existing businesses**, the additional employee cost **shall be nil** –

- if there's **no increase** in **number of employees** from the last day of previous year and
- if emoluments are **not paid** through **specified banking methods** (*i.e.* if emoluments are paid in cash then deduction will not be available)

Provided further in the **first year of a new business**, the emoluments paid or payable to **employees hired** during that year are considered as the additional employee cost.

Additional Employee

- ✓ An employee who has been employed during the previous year and whose employment has the effect of increasing the total number of employees employed on the last of preceding year
- ✗ Employee whose total **emoluments > INR 25,000 per month**
- ✗ Employee who is employed for a period of **< 240 days** (**150 days** in the business of manufacturing of apparel or footwear or leather products)
- ✗ Employee who does not participate in the **recognized provident fund** or whose **entire contribution** is **paid by the Government** under Employees Pension Scheme notified in accordance with the provisions of the Employees' Provident Funds and Miscellaneous Provisions Act, 1952 (19 of 1952)



Scenario-1

ABC Ltd. is a company engaged in the business of rendering software development services. The turnover of F.Y. 2022-23 was ₹12.50 crores and profits and gains derived from business is ₹90 Lakhs. The number of employees at the beginning of year F.Y. 2022-23 was 150. The company recruited 50 new employees during the year. All these employees were employed for more than 240 days in the year and participated in Recognized Provident Fund. During the year, 25 employees left the company. The total monthly emoluments per employee is ₹24,600 per month.

In the case of ABC Ltd., since turnover exceeded the prescribed limit of tax audit, therefore, section 44AB is applicable and the company is also deriving profits and gains from business. Hence, ABC Ltd. is eligible to claim deduction u/s 80JJAA.

Calculation of Deduction u/s 80JJAA

Number of Employees as on 1-4-2022 = 150

Number of Employees as on 31-3-2023 = 175 (150+50-25)

Additional Employees = 25 (175-150)

Additional Employee Cost = ₹73,80,000 (₹24,600 × 12 × 25)(assuming additional employees were employed for a period of 12 months)

Deduction u/s 80JJAA = ₹22,14,000 (₹73,80,000 × 30%)

Conclusion: The assessee company being eligible to claim deduction u/s 80JJAA amounting to ₹22,14,000 availed the benefit in the relevant year. If the company would not have been subjected to tax audit or would have engaged in profession, then the company would not be eligible for deduction under the section.

Scenario-2

In the given case, suppose all the new recruits were employed for less than 240 days in F.Y. 2022-23 and in F.Y. 2023-24 new employees are recruited, who worked for more than 240 days and 5 employees left out of the 50 employees who joined last year (all these 5 employees worked less than 240 days in F.Y. 2023-24)

50 employees will be not be considered as Additional Employees for F.Y. 2022-23 since these were employed for a period less than 240 days in the said financial year. 45 employees out of such 50 would be deemed to be employed in F.Y. 2023-24 *i.e.* subsequent year only as they have worked for more than 240 days in F.Y. 2023-24.

Calculation of Deduction u/s 80JJAA

Particulars	*F.Y. 2022-23*	*F.Y. 2023-24*
Number of Employees as at beginning of the year	150	125
Number of Employees as at end of the year for calculating additional employees cost	125 (150-25)	180 (125+50-5+10)
Additional Employees	0 (125-150)	55 (180-125)
Additional Employee Cost	Nil	₹1,62,36,000 (₹24,600 × 12 × 55)
Deduction u/s 80JJAA	Nil	₹48,70,800 (₹1,62,36,000 × 30%)

Conclusion: There may be different perspectives on this issue:

1. The first viewpoint is litigative in nature asserting that deduction will be available for the two subsequent years since section puts a condition of employment only for the first year and deduction can be claimed in three years in accordance with provision of the section, irrespective of the fact whether the employee continues to be in employment or not for the remaining years.
2. The alternative perspective suggests refraining from claiming deductions for the two following years, as it is believed that doing so would undermine the intended purpose of the law to generate employment and employee retention. There is an argument against the practice of claiming deductions for

additional employee costs in subsequent years, especially when deduction for first year in which employee was hired has been claimed. Since the condition is not getting fulfilled in subsequent years, no deduction should be allowed for these years.

Scenario-3

The total emoluments of employees increase to ₹ 26,000 per month from ₹ 24,000 per month. Whether company will be eligible for deduction in second and third year (subsequent years)?

Yes, Company will be eligible for the deduction in second and third year.

The section puts a condition only for limited purpose to test whether in first year there is increase in total number of employees. Once the employee is qualified as an additional employee, the deduction can be claimed in three years in accordance with provision of the section, irrespective of the fact whether in subsequent years the total emoluments paid to such employee has increased by more than ₹ 25,000 per month.

Scenario-4

Mr. X is newly employed during F.Y. 2022-23 earning total emoluments of ₹ 24,000 per month. But his salary increased in the month of January to ₹ 26,000 per month. Would the company be eligible to claim benefit of cost incurred on Mr. X?

Mr. X would fall outside the definition of "**additional employee**".

Any employee to fall in the category of additional employee, employee received total emoluments of less than equal to 25,000 rupees per month as at the end of relevant previous year is to be seen. Any new employee getting more than ₹ 25,000 in any month during the relevant previous year would be outside purview of such definition and thus, would not be eligible for section 80JJAA deduction. Thus, in the present case Mr. X should not be considered for the purpose of section 80JJAA working.

Scenario-5

Will deduction under the section be considered business-wise or PAN-wise for an assessee having multiple businesses under the same PAN?

To make sure that eligibility is accurately checked and the conditions in this section are followed, it's crucial to calculate the additional employees on PAN-wise basis rather than for different businesses of a single assessee.

This approach is necessary because businesses under the same PAN might have different trends. For example, one entity experiencing a net increase in the workforce, while another might be reducing its workforce. If we assess eligibility at the overall assessee level, it could result in a situation where the total number of employees decreases, leading to the inapplicability of the deduction for that assessment year.

BRAINSTORMING

Where an assessee has 2 business units, one is manufacturing footwear whereas another is engaged in trading of electronics goods. Here, number of days for calculation of number of additional employees is different for both the businesses (240 days for business of trading of electronics goods and 150 days for footwear manufacturing), then how the calculation of additional employees for claiming deduction shall be made since calculation has to be done at overall assessee level.

Scenario-6

If, in a previous year, the assessee fails to claim a deduction under this section despite fulfilling the required conditions, would they still be eligible to claim the deduction for the subsequent two assessment years?

The section 80JJAA is a beneficial provision and interpretation should be given as beneficial to the assessee. Further, it is also established that the department cannot derive any benefit due to mistakes made by the assessee.

Therefore, in our view, in the present case, the employer is eligible to claim the deduction in the remaining 2 assessment years.

ABRY SCHEME *v.* SECTION 80JJAA DEDUCTION

ABRY (Aatmanirbhar Bharat Rozgar Yojana) scheme with following conditions was launched in COVID-19:

- An employee drawing monthly wage of less than ₹15,000 who was not working in any establishment registered with the Employees' Provident Fund Organization (EPFO) before 1st October, 2020 and did not have a Universal Account Number (UAN) or EPF Member account number prior to 1st October 2020 is eligible for the benefit.
- Any EPF member possessing UAN drawing monthly wage of less than ₹15,000 who made exit from employment during COVID pandemic from 1-3-2020 to 30-9-2020 and did not join employment in any EPF covered establishment up to 30-9-2020 is also eligible to avail benefit.

Under ABRY, the Government of India is bearing **both the employees' share** (12% of wages) **and employers' share** (12% of wages) of contribution payable or only the employees' share, depending on employment strength of the EPFO registered establishments.

The scope of the scheme *i.e.* last date for registration of new employees under the scheme has been extended from 30th June 2021 to 31st March 2022. Government will pay the subsidy for **two years** from the date of registration.

- For an employee to be eligible as an 'additional employee' to claim deduction u/s 80JJAA, the entire contribution to EPS should not be paid by Government of India.
- As discussed above, it can be said that under ABRY, Government of India contributes the employees' share and employers' share of contribution payable or only the employees' share, instead of employer incurring such cost.

Therefore, in respect of the employees covered under ABRY Scheme, deduction u/s **80JJAA cannot be claimed**.

FILING OF FORM 10DA

Form 10DA is required to be furnished by the assessee along with the return of income for claiming deduction u/s 80JJAA.

- The filing of Form 10DA is a mandatory requirement for each of the **three consecutive assessment years** during which the deduction is claimed. This is for the reason that if an assessee is entitled to claim deduction under Section 80JJAA for a particular year, then the same deduction is allowed to the assessee for the subsequent two years as well.
- In Form 10DA, details of the claim of Section 80JJAA pertaining to increase in the number of employees in the preceding years is to be provided.
- Form 10DA must be filed before filing of return of income u/s 139(1) for the relevant assessment year. However, whether the same would be treated as procedural lapse in case of certain assessee's would be dependent on case to case basis.

CONCLUSION

- Given the ambiguities in the application of the provisions of the section under consideration, more clarifications on the interpretation and practical application would be more than welcome.
- Presently, the provisions of section 80JJAA of the Act are worded such, that the deduction is available only to taxpayers who are engaged in carrying out

"business" activities. Taxpayers engaged in professional activities are not eligible to claim the benefit of the deduction. Therefore, it is recommended that the provisions of section 80JJAA of the Act should be further liberalized so that taxpayers carrying out profession are also able to seek the benefit of this deduction.

- It is essential to clarify whether deduction will be available for deemed employees (who are deemed to be employed in next year) even though there is a net decrease in number of additional employees in that year.
- This provision is crucial for boosting employment and economic growth, yet some unresolved issues need clarification. Despite pending clarifications, Section 80JJAA offers a substantial tax benefit for labour-intensive taxpayers and should be further liberalized.

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Non-Standard disclosures of KMP Resignation amid SEBI's Regulatory Framework

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INTRODUCTION

Securities and Exchange Board of India ['SEBI'] had released a consultation paper dt: November 12, 2022, *inter alia* proposing to mandate disclosures pertaining to senior management. The objective behind mandating disclosures pertaining to senior management was that since the details of senior management were required to be disclosed at the time of filing of public offer documents, change in such senior management or any other event pertaining to the senior management is also a material information for investors. This consultation paper came up for discussion at SEBI Board Meeting dt: March 29, 2023. On discussion and addressing public comments SEBI vide its amendment notification dt: June 14,2023, amended Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) (Second Amendment) 2023 ['LODR Regulations']. Amendment was effective from July 14, 2023. In this article we would deal with varied practices in disclosure pertaining to change in senior management and key managerial personnel in the context of resignation or change in profile or designation etc.

Understanding the Regulatory Landscape

I. Disclosure of change in senior management and key managerial personnel

As per Schedule III Part A, Para A point 7 of LODR Regulations listed entities were mandated to disclose change in senior management. While disclosure with respect to change in key managerial personnel has been part of LODR Regulation, change in of senior management within a listed company was considered important because it provided crucial insights into the internal dynamics of the organization. Point 7 reads as follows, "*Change in directors, key managerial personnel (Managing Director, Chief Executive Officer, Chief Financial Officer, Company Secretary etc.), senior management, Auditor and Compliance officer*" The words used here are, "*change in…….*". Word 'Change' would mean any change in the key managerial personnel, senior management, director etc. 'Change' here would not necessarily mean resignation or appointment only. It can mean 'promotion, demotion, giving of additional responsibilities, change in designation etc.

II. What to disclose and when to disclose?

SEBI vide Circular dated July 13, 2023 ('July circular'), provides minimum information that is required to be provided while disclosing events given in Part A of Schedule III of LODR Regulations. Annexure I of July Circular provides for specified disclosure that needs to be adhered to while disclosing' *Change in directors, keymanagerial personnel (Managing Director, Chief Executive Officer, Chief Financial Officer, Company Secretary etc.), senior management, auditor and compliance officer*' to stock exchange. July Circular at Point 7 states that following minimum details needs to be given while providing disclosure of change in key managerial personnel/senior management:

(*a*) Reasons for change.

(*b*) Date of appointment, re-appointment, cessation & term of appointment/re-appointment.

(*c*) Brief profile (in case of appointment).

(*d*) Disclosure of relationships between directors (in case of appointment of directors).

(*e*) Letter of resignation along with detailed reasons for resignation as given by key managerial personnel, senior management, compliance officer or director.

Point 7C of Schedule III, Part A, Para A of LODR Regulations also talks about disclosures pertaining to 'senior management'. Point 7C read as follows:

"In case of resignation of key managerial personnel, senior management, Compliance Officer or director other than an independent director; the letter of resignation along with detailed reasons for the resignation as given by the key managerial personnel, senior management, Compliance Officer or director shall be disclosed to the stock exchanges by the listed entities within seven days from the date that such resignation comes into effect."

It states that disclosures shall be given *'from the date when resignation comes into effect'*. The terminology that *'resignation comes into effect'* would mean the date when resignation becomes effective. Further Annexure II of July Circular states that '*Change in directors, key managerial personnel (Managing Director, Chief Executive Officer, Chief Financial Officer, Company Secretary etc.), senior management, Auditor and Compliance Officer*' shall be disclosed within 24 *hours in case of resignation and 12 hours in other cases.*

It becomes pertinent here to note the background behind bringing the provisions relating to the provisions of change in senior management. SEBI board meeting dated March 29,2023, while discussing the proposal for change in senior management mentioned that *"the date of resignation and the last working day may vary as per the mutual understanding between the employee and the company. It is also possible that the concerned employee may decide to withdraw the resignation. Also, in the case of key managerial personnel, senior management, and directors other than independent directors, the date of resignation may be different from the date of cessation (last working day). Hence, it may be specified that the disclosure is required* *within 7 days from the date such resignation comes into effect."*

Due to this there are two ways of interpreting disclosures pertinent to changes in senior management which can be given within 24 hours from the date of resignation and resignation letter can be given within 7 days from the date when resignation becomes effective or there is another way of disclosure of change in senior management and that is by way of disclosure of change within 7 days from the date when the resignation becomes effective.

However, it is observed that market participants have interpreted this provision of LODR Regulations in a varied manner. This article specifically highlights on such Non-standard disclosures and their implications.

The Standard Format Dilemma and Practical challenges: On a study of around more than 100 disclosures made by listed entities to stock exchanges in a period of five months from July 2023 to December 2023 it is seen that varied practices are seen in the context of change in senior management and key managerial personnel. Following are the observations based on the study of disclosure:

(*a*) **Absence of minimum information as required by July Circular:** July Circular provides for minimum items that are required to be disclosed when there is a change. It was observed that certain companies provided all the minimum items as is required by July Circular while there were some companies who failed to provide requisite details *viz*. from when resignation or in senior management the change is effective, what is the date of resignation.

(*b*) **Date of disclosure of resignation:** Further a different trend was also noticed with respect to date of disclosure of change in senior management. While some listed entities disclosed resignation when the KMP or senior management had served the notice period and certain listed entities disclosed resignation as soon as the senior management or key managerial personnel resigned additionally also stating what would be the notice period, last day of serving the listed entity etc. It needs to be highlighted here that as per Point 7C of Schedule III, Part A, Para A of LODR Regulations disclosure of resignation in senior management or key managerial personnel shall be disclosed within 24 hours and 12 hours in other cases. Further it is mentioned that resignation letter along with detailed reasons for resignation shall be disclosed within seven days of resignation becoming effective. But it is seen that resignation letter or e-mail is not attached in case of disclosure of resignation in certain circumstances.

(*c*) **Resignation of senior management or key managerial personnel as UPSI:** Question arises as to whether key managerial personnel or senior management personnel resigning amid fraud or due to some allegations against him/her will be considered as UPSI? Whether resignation by key managerial personnel or senior management or director (other than independent director) for better opportunity would be a price sensitive information? Determination of a particular event or information as price sensitive information or not would depend on that particular situation. But if it is a price sensitive information then it becomes crucial to deal with its disclosure judiciously.

(*d*) **Name of individual replacing KMP or senior management:** Some companies had given the name of resigning key managerial personnel/senior management as well as name of new key managerial personnel/senior management replacing coming in place of the resigning individual. This was observed in very listed entities. Many listed entities only mentioned details of resigning KMP, and no further disclosures are given as to appointment of new KMP.

(*e*) **Disclosures of change in designation or providing of additional charge to a KMP or senior management:** Certain listed entities made disclosure even with respect to senior management personnel who have been given further additional responsibilities in the organization. It was also seen that certain listed entities have made disclosure of change in the designation of senior management. It was also observed that a few listed entities have made disclosure of change in role/designation/providing additional responsibility to senior management personnel of subsidiary company.

(*f*) **Disclosures on approval of audit committee or nomination and remuneration committee:** It was observed that certain listed entities had disclosed resignation of chief financial officer only on approval of same by audit committee.

Conclusion

LODR Regulations provides a structured format for disclosing material events, including resignations. The intention was to ensure uniformity, completeness, and clarity in the in formation shared with stakeholders and the broader market. Securities Appellate Tribunal has *vide* its order dt: 24-3-2021 in the matter of *B Ranganathan* v. *SEBI* has mentioned that *"A disclosure-based regulatory regime is founded on timely and adequate disclosure of all events material to a company or to its securities in any manner. Further hair-splitting will result in confusion; so, the best way to deal with the event is to disclose without doing further analysis."*

Shareholders, regulators, and the broader market rely on timely and accurate information to make informed decisions. A non-standard format of material event disclosure erodes trust and may lead to adverse consequences for the company's market standing. As instances of non-standard disclosures multiply, there is a growing urgency for companies to revisit their practices and align with SEBI's guidelines. Adopting standardized formats not only ensures compliance but also reflects a commitment to transparency and openness. Aligning with SEBI's Guidelines is not merely a regulatory obligation; it is a strategic move toward building robust corporate governance practices that stand the test of scrutiny and contribute to the long-term success of the business.

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Case Study: Raising loan by Company from members other than Director/ Relative

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Within the intricate realm of corporate finance, businesses frequently look for novel approaches to obtain extra funding. The concept of companies receiving direct loans from their shareholders is a provocative path that is garnering attention. The article dives into the intriguing world of shareholder loans, examining the options, restrictions, and possible benefits for businesses and their investors.

We should first ascertain meaning of Deposits & Net Worth before delving deeper into the main issue.

Section 73 of the Companies Act of 2013 defines a deposit as any money received by a company in any form or as a loan, with the exception of a few particular types of transactions or sums.

Net worth means aggregate of its paid-up share capital, free reserves and securities premium amount.

Deposits are an important source of funds for businesses, allowing them to finance their operations and growth.

However, in order to safeguard investors interests and avoid fraudulent actions, the Companies Act, 2013 has impose certain restriction with some provisions regulating the acceptance of deposits from shareholders which will be discussed later in this article.

Why do Companies opt for Shareholder Loans?

- Immediate Funding Needs
- Flexibility & Agility
- Avoiding Dilution
- Strategic Capital Infusion
- Building Investor Confidence

Which provision of Law governs the Deposits from member?

"Sections 73 to 76 of the Companies Act, 2013 (hereinafter called the Act) read with Companies (Acceptance of Deposits) Rules, 2014 made under Chapter V of the Act (hereinafter called 'the Rules') regulate the invitation and acceptance of deposits"

Non-Applicability of Deposit Rules to certain companies

- Any banking company
- Any Housing Finance company
- Any Non-banking finance company
- Such other company as may be notified by the central government

Can a PRIVATE COMPANY borrow money from its members?

Yes. A **Private Limited** Company may borrow money from the shareholders in line with the section 73 of Companies Act of 2013.

Private company (Section 73)

- Deposit upto 100% of Net Worth
  - Fulfilment of certain condition
- More than 100% of Net Worth
  - Section 73 conditions to be fulfilled

Scenario 1: -

As per **Section 73** of Company Act, 2013 a private company can accept deposit from its member up to 100% of its Net Worth subject to the fulfilment of following conditions:-

1. Which is a start-up, for ten years from the date of its incorporation; or
2. A private limited company that meets all of the following requirements:
   (*a*) Not a subsidiary or associate of another company.
   (*b*) The amount borrowed by the company from banks, financial institutions, or any other corporate entity is not more than twice the amount of its paid-up share capital, or fifty crore rupees, whichever is lower.
   (*c*) Such a company has not defaulted in the repayment of such borrowings subsisting at the time of accepting deposits under Section 73.

Scenario 2:-

If the amount borrowed along with the amount to be borrowed exceeds 100% of the net worth, or, if it is up to 100%, but any of the conditions mentioned in the Scenario 1 are not fulfilled, then Private limited company has to fulfil below conditions:

Conditions to be fulfilled (Section 73)

- Passing SR in General meeting
- Issue of circular containing information like, financial position, credit rating etc.
- Requirement of Deposit Repayment reserve account
- Register of deposit to be maintained
- Appointment of Trustee
- Filing of DPT 03 with registrar

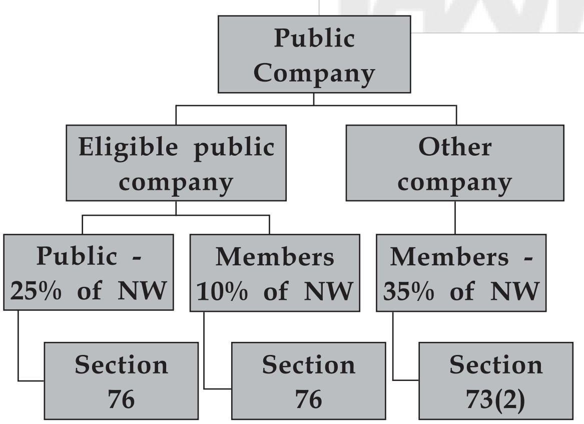
Example:

Consider a Pvt. Ltd. Company, with net worth of ₹50 Lakhs, and paid-up share capital is ₹40 Lakhs.

(*i*) If the Borrowings of the Co. from banks is ₹70 Lakhs, and the Company wants to make borrowings from shareholders of ₹60 Lakhs, then, the Company will be required to fulfil the conditions specified u/s 73, since the borrowings exceed 100% of the Net Worth.

(*ii*) If the Borrowings of the Co. from Banks is ₹1.2 Crores, and the Company wants to make borrowings from shareholders of ₹25 Lakhs, then, even though the borrowings are within 100% of the Net Worth, the Company will still be required to fulfil the conditions specified u/s 73, since the bank borrowings are more than twice the amount of paid-up capital.

What does the law say on borrowings from shareholders by a PUBLIC COMPANY



Other than Eligible Public Company

Can accept or renew any deposit from its members including other deposits outstanding as on date of acceptance or renewal maximum **up to 35% of net worth.**

Only a **Public Company** that meets the criteria for being **Eligible Company** is permitted to borrow funds from public other than its members.

Eligible Public Company. (Section 76)

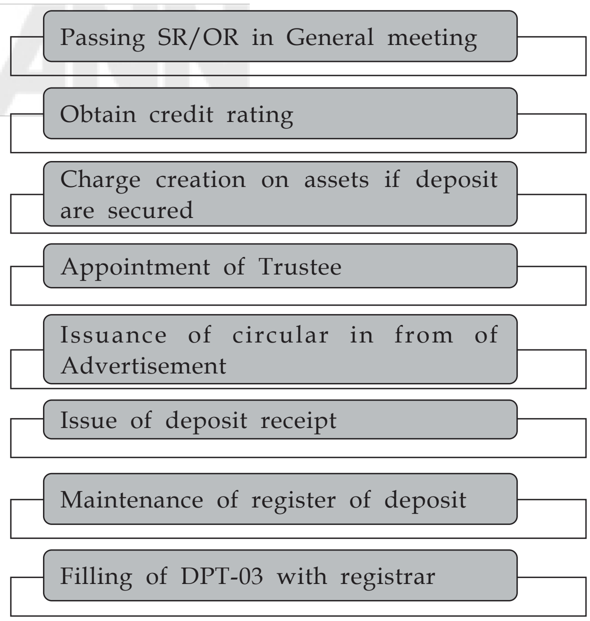
An eligible company is a publicly traded company with Minimum net worth of one hundred crore rupees or a minimum turnover of five hundred crore rupees.

Limit on acceptance of loans in case of eligible company: -

(*a*) **From Members:** The amount of such deposit together with outstanding deposit from members as on date of acceptance or renewal can be **maximum ten per cent of net worth.**

(*b*) **From persons other than members:** The amount of such deposit together with outstanding deposit from persons other than members *i.e.* General public as on date of acceptance or renewal can be **maximum twenty five per cent of the net worth.**

Pre-conditions (Section 76)



Whether a Company take a loan from Promoter (other than Shareholder/Director/Director's relative)?

Yes, a company can take a loan from promoter subject to the fulfilment of following conditions as per Acceptance of Public Deposit Rules:

(*a*) Loan is brought in pursuance of the stipulation imposed by the lending institutions on the promoters to contribute such finance;

(*b*) Loan is provided by the promoters themselves or by their relatives or by both; and

(*c*) Exemption under this sub-clause shall be available only till the loans of financial institution or bank are repaid.

Tenure of deposits

A company is not permitted to accept or renew deposits (whether secured or unsecured) which is repayable on demand or in less than six months. Further, the **maximum period of acceptance of deposit cannot exceed thirty-six months**.

Exception to the rule of six months –

For the purpose of meeting any of its short-term requirements of funds, a company may accept or renew deposits for repayment earlier than six months subject to the condition that:

(*i*) such deposits shall not exceed ten per cent of the aggregate of the paid-up share capital, free reserves and securities premium account of the company; and

(*ii*) such deposits are repayable only on or after three months from the date of such deposits or renewal.

Punishment for contravention of Sections 73 & 76 (Section 76A)

(*a*) **Punishment for the company:** The company shall, in addition to the payment of the amount of deposit or part thereof and the interest due, be punishable with fine which **shall not be less than one crore rupees or twice the amount of deposit accepted by the company, whichever is lower but which may extend to ten crore rupees; and**

(*b*) **Punishment for officer-in-default:** Every officer of the company who is in default shall be punishable with **imprisonment which may extend to seven years and with fine which shall not be less than twenty-five lakh rupees but which may extend to two crore rupees.**

Further, if it is proved that the officer of the company who is in default, has contravened such provisions knowingly or wilfully with the intention to deceive the company or its shareholders or depositors or creditors or tax authorities, he shall be **liable for action under section 447 (Punishment for fraud).**

Penalty for contravenes of deposit rules

If any company seeking deposits or any person contravenes any of the deposit rules, the company and every officer-in-default shall be punished with a fine of up to five thousand rupees, and if the violation is continuing, with a further fine of up to five hundred rupees for each day the violation continues.

Illustrations: -

1. A Ltd. an unlisted public company has obtained loan from shareholders within the limit prescribed in the circular and as per conditions mentioned in the said rules and sections. However, after receiving loan it has decided to repay the interest along with the repayment of the loans by passing a board resolution. Whether the company can do so.

Solution: -

No, the company cannot change the terms of the loans given in the circular shared with shareholders and the DPT 1 form filled with the ROC. The unpaid interest shall be considered as loan and the defaulting company may have to pay the penalty as per penal provisions of the act.

2. B Pvt. Ltd. Has Paid up share capital of 10 lakhs, reserves and surplus of 90 lakhs as on March, 2023 and loan taken from shareholder as on balance sheet date was 50 lakhs. During the year 2023-24 it has taken additional loan of 60 lakhs from shareholder.

Can Company take the additional loan from shareholders?

The company repaid the same amount on same day. Whether this will make good the default made by company?

Solution: -

The maximum limit available for obtaining the loan from shareholders is 100 lakhs. However, there are two opinions on calculating the net worth of the company with regard to obtain loan from shareholder as the section says aggregate of paid-up share capital, reserves and surplus and securities premium. It does not specify the timeline. **There are 2 opinions for the same:**

(*a*) Company can only take loan up to 100 Lakhs *i.e*. Net worth as per audited financial statements. Hence the company has exceeded the limit available for obtaining the loan from shareholder. This opinion is widely suggested by professionals.

(*b*) In other opinion, the net worth should be calculated as on date of obtaining the loan from the shareholder. Suppose the profit as on the date of loan to be obtained is 20 lakhs. So, the limit available to the company shall be 120 lakhs and company has not defaulted in taking the loan.

The repayment of loan on the same day shall be considered as contravention of the provisions of the law and accordingly the penal provisions of the said section may be applied by the competent authority.

Conclusion

As discussed, the Companies Act has made several provisions to safeguard the interests of all the stakeholders related to the Companies. It has made an attempt to ensure that the funds are not rotated among the Company and its members, avoiding other legal and regulatory requirements.

GST proceedings: Evaluating the validity of time extensions under Section 168A

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1. Introduction

As they say, there is no point in levying taxes which cannot be recovered. The preferred and desirable mode of recovery is payment of due tax by the assessee under self-assessment scheme. However, where the assessee is not able to compute the correct tax liability and paid less than due tax, or where assessee is not so honest and is engaged in evasion of tax, statutes provide for recovery provisions. Generally, recovery proceedings start with issuance of show cause notice which is the culmination of all the investigation, communication with taxpayer and all other preparatory work to gather evidences against the assessee and formulate the allegations against assessee in specific terms. The provision which authorizes recovery proceedings also provide for a time period within which recovery notices can be issued. The start date of such period could be any event like date of filing of statutory return, or due date of filing of return where no return is filed, or due date of payment of tax, or the date of refund of tax which has been erroneously made, or clearance of goods, as the case may be. Before the GST regime, though the period for issuing notice was fixed, there was no such limitation regarding adjudication of such notice leaving it open ended. Adjudication of such notices were taking too long and, in some cases, the orders were issued by the adjudicating authorities after 6 to 10 years leading to quashing of such notices by High Courts on the grounds of inordinate delay.

2. To curb this, GST statutes provides for a limitation period for adjudication of the notices and limitation to issue notice has been linked with last date for issue of order by the adjudicating authority. This has served dual purposes, first, adjudication become time bounds and second, if the time limit for issuing order is extended for any reason, the time limit for issuing notice will extend automatically, which ultimately goes in favour of the Revenue.

3. Overview of recovery provisions under CGST Act.

Under CGST Act, 2017, Sections 73 and 74 are the recovery provisions prescribing for issue of notice in cases where tax is not paid or short or erroneously refunded or input tax credit is been wrongly or utilized. Where reasons for non-payment or short payment of tax or wrong availment or utilization of ITC other than fraud, or wilful mis-statement or suppression of facts to vade tax, notice shall be issued under Section 73(1), else notice shall be issued under Section 74(1).

4. Sub-section (2) of Section 73 provides that notice under Section 73(1) shall be issued three months prior to the time limit specified under Section 73(10) for issuance of order. Section 73(9) provides that the proper officer after considering the representation, if any, made by the Noticee, shall determine the amount of tax, interest and penalty and issue an order. Section 73(10) provides that such order shall be issued within three years from the due date for furnishing of annual return for the financial year to which the tax not paid or short paid or ITC wrongly availed or utilized relates to or within three years from the date of erroneous refund. Under Section 74, time limit for issuing the order is five years and SCN can be issued prior to three months from the date of issue of order.

5. In nutshell, any dispute raised by the revenue alleging non-payment or short payment of tax for any reasons other fraud or any wilful mis-statement or suppression of facts has to be adjudicated within three years or five years from the due date of furnishing annual return for the financial year to which such dispute relates to. It is quite possible that, under certain circumstances, proper officer may not be able to issue notice or the order within the prescribed time line and in order to enable the proper officer to issue notice and to pass the order, extension of time line is required. Such a situation had arisen due to world-wide spread of COVID 19 pandemic where both assessee as well as revenue was not able to keep up with the time lines.

6. The Notification

It is interesting to note that the CGST Act, 2017, originally has no provision enabling the government to extend the time limit prescribed under Section 73(10). Such powers were conferred on the Government with effect from 31-3-2020 by way of insertion of Section 168A through Taxation and Other Laws (Relaxation and Amendment of Certain Provisions) Act, 2020. No doubt such amendment to CGST Act, 2017 was made in order to cure the defect of not performing certain functions with the statutory time lines due to disruption caused by the Covid-19 pandemic. Since insertion of Section 168A, several notifications[1] have been issued under this provision extending limitation period for certain specified in, or prescribed or notified under, this Act in respect of actions which cannot be completed or complied with due to force majeure. With respect to extension of time limit for issuing order under Section 73(10) Notification No. 9/2023-Central Tax, dated 31-3-2023 was the latest till the freshly minted Notification No. 53/2023- Central Tax, dated 28-12-2023 extending time limit for the F.Y. 2018-19 to 30-4-2024 and for F.Y. 2019-20 to 31-8-2024 was put out for public awareness. It is not sure whether the Government has left out the F.Y. 2017-18 deliberately or it had to let it go, because time limit for issuing order as prescribed under Section 73(10) was going to be lapsed on 31-12-2023, whereas new notification came in effect on 28-12-2023. Howsoever noble the intention may be, public, this time, is more baffled than being aware. The latest notification came as a shocker to the business as well as legal experts. No one could have expected that in a situation where High Courts have already doubted the validity of the Notification No. 9/2023-Central Tax, dated 31-3-2023 and issued interim order in favour of the taxpayers, another notification having same effect shall be issued on similar lines. Well, the power conferred under Section 168 of the CGST Act, 2017 has been exercised. What is left now is the dissection whether such power has been exercised validly and whether the notification dated 28-12-2023 is valid and been in the lines of mandate of Section 168A.

7. Understanding the scope of Section 168A

Section 168A is reproduced as under:

168A. Power of Government to extend time limit in special circumstances. — *(1) Notwithstanding anything contained in this Act, the Government may, on the recommendations of the Council, by notification, extend the time limit specified in, or prescribed or notified under, this Act in respect of actions which cannot be completed of (sic) complied with due to force majeure.*

(2) The power to issue notification under sub-section (1) shall include the power to give retrospective effect to such notification from a date not earlier than the date of commencement of this Act.

Explanation. - For the purposes of this section, the expression "force majeure" means a case of war, epidemic, flood, drought, fire, cyclone, earthquake or any other calamity caused by nature or otherwise affecting the implementation of any of the provisions of this Act."

8. A perusal of Section 168A reveals that Sub-section (1) starts with a *non-obstante* clause provides that without being affected by anything contained in CGST Act the Government may, after receiving recommendations from GST council, issue a notification extending the time limit specified in, or prescribed or notified, under the Act in respect of actions which cannot be completed or[2] complied with due to force majeure. Sub-section (2) confers a power to give retrospective effect to such notification subject to the conditions that such date of retrospective effect shall not be prior to 1.7.2017. Explanation to the Section 168A is the most important part and defines the term *force majeure* butonly for the purposes of Section 168. As per the *Explanation"force majeure" means a case of war, epidemic, flood, drought, fire, cyclone, earthquake, or any other calamity caused by nature or otherwise affecting the implementation of any of the provisions of this Act"*.

9. A perusal of the Explanation reveals that it uses the term "means" therefore it is an exhaustive definition. When in the definition clause given in any statute the word "means" is used, what follows is intended to speak exhaustively. When the word "means" is used in the definition it is a "hard-and-fast" definition and no meaning other than that which is put in the definition can be assigned to the same[3]. It lists out calamities like, war, epidemic, flood, drought, fire, cyclone, earthquake. After listing out specific ones, it uses expression *"or any other calamity caused by nature or otherwise"* and thus includes natural calamities other than already listed out as-well-as non-natural or man-made disasters. Use of expression *"or otherwise"* which has been used in juxtaposition to term *"natural"*, shows that calamities which may not occur because of natural causes shall also be included in the definition of force majeure. It may be noted at mere existence of natural or man-made calamities is not enough to treat these calamities as force majeure. To take that colour, such calamities must have affected the implementation of any of the provision of the Act. In nutshell, to become a force majeure there should be a calamity, natural or man-made, and such calamity must have affected the implementation of the provisions of the Act.

10. On a reading of Section 168A as a whole, it appears that to issue a notification under Section 168A, there has to be a reasonable causal nexus between the existence of *force majeure* and inability to complete or complied with the actions for which time limit has been specified in or prescribed or notified under the Act. It is axiomatic that calamities whether natural or man-made have devastating impact effecting every aspect of life of the persons affected by it. Impact of Covid-19 on general public as well as general administration of the revenue department is not different. Recovery from such setbacks is always subjective and depends of several factors having direct or indirect or even remote nexus. After effects of a calamity tends to exit lot longer than the apparent face of the calamity itself. It is not a classic case of switch on - switch off. A calamity may appear to become over however, its effects specially on public institutions, involving public and Government interaction, remain much longer and process of recovery is rather slow. The author is of the view that while looking for as to whether there is existence of *force majeure* to decide the validity of a notification issued under Section 168, one should also consider the after effect of such force majeure and time that has to be invested in putting the system back on track and achieving the same efficiency level. The recovery period involved in undoing or neutralizing the effects of the calamity qualifying as a *force majeure* should also be treated as a part and parcel of duration of the calamity itself. Thus, the period during which revenue department was not able to function efficiently post official declaration of end of Covid-19 pandemic[4], should also be keep in mind to decided the fact that there was nothing hindering to the revenue department to complete or complied with their action for which limitations prescribed or notified under the Act. Considering this, courts may take a lenient view tilting in favour of the revenue while deciding the validity of notification issued under Section 168A. In this instance the issue is not really the existence or absence of Covid-19 pandemic but to determine as to what should be the reasonable recovery period beyond which revenue department should not be allowed to hide behind the veil of Covid-19 and should be hold accountable for the delay in meeting time lines prescribed under the Act. It is quite possible that Courts may not refuse to invalidate the earlier notification issued under Section 168A while may invalidate Notification No. 53/2023-Central Tax, dated 18.12.2023. Courts have to make a thorough examination in the facts and efforts made by the revenue department to meet the time lines within the extended limitation and see as to whether there were any real causes hindering the revenue department from doing so. One thing is sure that the practice of extending time limit for issuing order under Section 73(10) and thus giving a new lease of life to issue notice under section 73(1) cannot go on forever. A self-disciplined approach is the need of the hour. Any notifications issued at the whims and fancies of the Government has to be struck down without any hesitation.

11. The beneficial interim order passed by various High Courts in the matters challenging Notification No. 9/2023 - Central Tax, dated 31.3.2023 should have been an alarming call for the government not to issue similar notification any more, yet the Notification No. 53/2023, Central Tax, dated 28-12-2023 has been issued.

12. The controversy and author's perspective

Over the internet and in print media, a fierce debate is happening mostly lamenting revenue department for their lackadaisical behaviour and not keeping up with the time lines. Opinions are also expressed, on the validity of earlier Notification bearing No. 9/2023-Central Tax, dated 31-3-2023, as to how such notification is not issued following the mandate of Section 168A as there is no *force majeure* at the time of issue of notification.

Experts are also interpreting definition of *"force majeure"* after applying the doctrine of *ejusdem generis* and opining that term *"or otherwise"* shall colour from the words, like flood, drought, earthquake etc. and thus only a calamity due to natural causes only should qualify as a *force majeure* as defined under Explanation to Section 168A[5]. Other reason supporting invalidity of Notification No. 9/2023 - Central Tax dated 31-3-2023 is that without extending the time limit for filing annual return under Section 44, limit for issuing order under Section 73(10) cannot be extended. With all due respect, the author is of the view that both these arguments may not be correct.

13. A perusal of the definition of term *"force majeure"* as provided under *Explanation* to Section 168A reveals that after specific inclusion of war, natural calamities like flood, fire, drought, cyclone and earthquake a residual category "*any other calamity caused by nature or otherwise*" has been included. In the phrase *"any other calamity caused by nature or otherwise"* words *"nature"* and *"otherwise"* has been separated by a disjunctive term *"or"*. It is well established that *"or"* separates the two words, (*e.g.* either this or that). In *Raghunath International Ltd*. v. *Union of India* [2013] 30 taxmann.com 140/[2012] (280) ELT 321 (All.), High Court held that it was well established principle of statutory interpretation that the word "or" is normally disjunctive and the word "and" is normally conjunctive. Both of them could be read as *vice-versa*, but that interpretation could be adopted only where the intention of legislature was manifest. It cannot be doubted that language of the *Explanation* to Section 168A is pretty clear and there is no ambiguity. In this context term *"or"* has to be taken in its normal disjunctive sense. The dictionary meaning of the word *"otherwise"* is *"in other ways"*, *"in other circumstances"*, *"in other respects"*[6] and is used to refer to something that is different from something already mentioned[7]. While interpreting the term "*otherwise*" as used in Article 224A of the Constitution of India dealing with the appointment of additional and acting judges, in case of *Krishan Gopal* (*supra*), Hon'ble Supreme Court interpreted the term as under:

"The dictionary meaning of the word "otherwise" is "in other ways", "in other circumstances", "in other respects". The word "otherwise" would, therefore, point to the conclusion that for the purpose of jurisdiction, powers and privileges the person requested shall be a Judge of the concerned High Court and for purposes other than those of jurisdiction, powers and privileges, the person requested shall not be deemed to be a Judge of that Court. It would, for example, be not permissible to transfer him under Article 222 of the Constitution. The use of the word "deemed" shows that the person who sits and acts as a Judge of the High Court under Article 224A is a Judge of the said High Court but by a legal fiction he is not to be considered to be a Judge of the High Court for purposes other than those relating to jurisdiction, powers and privileges.

14. Considering the meaning and interpretation of the word *"otherwise"* it becomes clear that same cannot have the meaning anything similar to *"natural"*. Being so, phrase *"any other calamity caused by nature or otherwise"* shall include not only the calamities caused by nature but also the calamities/disasters caused by human errors or not related to natural causes. Being so, the view that definition of *"force majeure"* shall include only those calamities which are caused by nature, with due respect, may not be the correct view. In Author's view application of doctrine of *ejusdem generis* to determine the correct scope of the *Explanation* to Section 168A of the CGST Act, also may not be correct.

15. The other issue, basis which, Notification No. 9/2023 and even 53/2023 are being declared as invalid by the experts is that time limit prescribed under Section 73(10) is linked with the due date of furnishing of final return under Section 44 and no notification has been issued for extending time limit for furnishing return. Thus, *"merely extending the time limit for issuance of order u/s 73(10) of the CGST Act, divorced from the due date for furnishing of the annual return u/s 44 of the Act, is contrary to the scheme of statutory provisions, thus, ultra vires, the provisions of Section 73 itself"*[8]. In this regard, it may be noted that Section 168A was not contemplated in the original CGST Act enacted on 1-7-2017. It was inserted later on, first by Taxation and Other Laws (Relaxation and Amendment of Certain Provisions) Ordinance, 2020 with effect from 31.3.2020 as a beneficial measure to relax certain provisions including extension of time limit, in the taxation and other laws. Later on the said Ordinance was repealed by The Taxation And Other Laws (Relaxation and Amendment of Certain Provisions) Act, 2020. And Section 168A was inserted with retrospective effect from 31-3-2020.

16. It may further be noted that Sub-section (1) of Section 168A is a *non obstante* clause and operates independently without being affected by any of the provision of the CGST Act. Sub-section (1) starts with words "*Notwithstanding anything contained in this Act, the Government may,"*. Being so, it will prevail over other provisions of the Act including Section 44. It may further be noted that Section 168A is a special provision enacted to tackle with the special circumstances and give plenary powers to the Government to extend time limits. It is well settled that special provision will always prevail over general provision. It is also well established that in economic matters a wider latitude is given to the law-maker and the Court allows for experimentation in such legislations based on practical experiences and other problems seen by the law-makers[9].

It is true that one way of extending limitation for issuing order under Section 73(10) could be to extend the time limit for filing of annual return under Section 44 and consequent to that date for issuing order under section 73(9)/74(9) and date of issuing SCN under Section 73(1)/74(1) may also got extended. However, in that situation intention would be to give benefit to the taxpayer and not to the revenue department. Under Section 168, though it is not said in express words, the legislative intention is to give benefit of extended limitations with respect to the actions to be taken by the Revenue Department. It may also be noted that, before insertion of Section 168A there was no such provisions to extend time lines for the benefit of the Revenue department, where as Section 172 was there since the enactment of CGST Act, 2017. Powers under Section 171 has been exercised in past to give relief to the tax payers. Vide Order No. 08/2019-Central Tax dated 14.11.2019 and Order No. 10/2019-Central Tax dated 26.12.2019, the due date to file annual return for financial year 2017-18 was extended to 5.2.2020/07.2.2020. Thus, the last date to pass Order under Section 73(10) of the CGST Act, 2017 was extended till 5.2.2023/07.2.2023. Accordingly, the last date to issue Notice under Section 73(2) of the CGST Act, 2017 was 7.11.2022. However, such order was issued to ameliorate the difficulties faced by the taxpayers in doing their compliance during the spread of covid and unintended benefit goes to the revenue. While exercising powers under Section 168A the intention is to give relief to the revenue department. Hence, the view that time limit under Section 73(10) can be extended only after extending time limit to furnish annual return, may not be the correct view because Section 168A(1) is an independent provision and has given overriding effect over other provisions of the Act and purpose of Section 172 and Section 168A is totally different and both cannot be compared.

17. Whether Notification No. 53/2023-Central Tax, dated 28.12.2023 is valid

That is a tough question and cannot be answered quickly, and it should not be. To answer that question courts, have to look for twin aspects. First, whether there is existence of *force majeure* and second, whether that *force majeure* has hindered the proper officer to issue the order with prescribed time limit. To a naked eye, there seems nothing like *force majeure* as defined under Explanation to Section 168A, however, as discussed in para 10 after effect of a calamity qualifying as a *force majeure* should also be keep in mind and due recovery time should be given. In author's view, no body can be in a better position to give real account of the situation and difficulties faced by the revenue department. Courts will have to make a thorough investigation and examine evidences to determine that whether or not after effects of covid-19 pandemic still hindering the Revenue department to issued orders under Section 73(9) and even after their best efforts, time limit under Section 73(10) cannot not be complied with. At the same time, we must also keep in mind the essential different between an individual taxpayer/business and the institution like revenue Department. Certainly, this is not an easy task and pedantic approach will not work. If, even after making due examination on facts, courts are of the view that even best efforts made by the revenue department was not enough to follow the time lines specified under the Act in issuing the order under Section 73(10), notification has to be declared as valid even though it may look like a little unfair treatment to the taxpayers.

18. The validity of similar Notification bearing No. 9/2023-Central Tax, dated 31.3.2023 was been challenged before several High Court recently Gujarat High Court in case of *Gajanand Multishop* v. *Union of India* [R/ Special Civil Application No. 20227 of 2023 Vide order, dated 21-12-2023] Hon'ble High Court issued notice in the case. However, no observations were made on the merits of the case. Several High Courts has accepted writs on identical issue, if nothing else, this should work as a wakeup call for the Government for not to issue notification extending time limits in routine manner.

19. Conclusion

It cannot be doubted that the Government has the power to issue notification under section 168A, however, such power should be used sparingly and in genuine cases only. Any act, howsoever noble it may be, will loose its credibility if done in routine manner. Currently, in case of Notification No. 53/2023 Central Tax, dated 28.12.2023 it appears that Government has taken its liberty too far and things are becoming a routine manner. Nothing could be more embarrassing for the Government if the High Courts declaring Notification No. 53/2023 Central tax declared as invalid being against the mandate of Section 168A after upholding the Notification No. 9/2023-Central Tax, dated 31.3.2023.

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1. Notification No. 35/2020-Central Tax, dated 3.4.2020 and Notification No. 14/2021-Central Tax, dated 1.5.2021 and Notification No. 13/2022-Central Tax, dated 5.7.2022 and Notification No. 09/2023-Central Tax, dated 31.03.2023
2. Though the text of the Taxation and Other Laws (Relaxation and Amendment of Certain Provisions) Act, 2020 in chapter VI uses word "of" between the words "completed and "complied". However, author is of the view that word "of" is a typographical error and should be read as "or".
3. *Bharat Cooperative Bank (Mumbai) Ltd.* v. *Employees Union* [2007] 4 SCC 685
4. See agenda for 49th GST council meeting
5. https://taxindiaonline.com/RC2/inside2.php3?filename=bnews_detail.php3&newsid=46446
6. *Krishan Gopal* v. *Shri Prakash Chandra* [1974] 1 SCC 128
7. https://www.merriam-webster.com/dictionary/or%20otherwise
8. https://taxindiaonline.com/RC2/inside2.php3?filename=bnews_detail.php3&newsid=46446
9. *RK Garg* v. *Union of India* 1982 taxmann.com 240 (SC).

WEEKLY REVIEW

A Weekly Guide to
Statutory Changes & Landmark Rulings

Goods and Services Tax

Statutory Changes

GSTN issued advisory on filing of online declaration in Annexure V and Annexure VI for GTA Taxpayers

GSTN UPDATE DATED 1-1-2024

The GSTN has issued an advisory to inform that online filing in Annexure V Form and Annexure VI Form is available on the portal for the existing GTA taxpayers for filing declaration in Annexure V Form or Annexure VI Form for the succeeding FY 2024-25 from 1-1-2024 to 31-3-2024.

The Existing/Newly registered GTA taxpayers who have already submitted Declaration in Annexure V Form for the FY 2023-24 manually with the jurisdictional authority are requested to upload their duly acknowledged legible copy of the Annexure V Form on the portal.

However, the GTAs who filed declaration for the FY 2024-25 on the portal for the period from 27-7-2023 till 22-8-2023 has been considered as filed and valid. Those taxpayers are requested that they need not file declaration in Annexure V Form for the subsequent FYs if they wish to continue their option for pay GST on Forward charge mechanism.

₹14.97 lakh crores gross GST collection during April-December 2023 period Press Release

PRESS RELEASE DATED 1-1-2024

The gross GST revenue collected in the month of December, 2023 is ₹1,64,882 crores. During the April-December 2023 period, gross GST collection witnessed a robust 12% y-o-y growth, reaching ₹14.97 lakh crores as against ₹13.40 lakh crores collected in the same period of the previous year.

The average monthly gross GST collection of ₹1.66 lakh crore in the first 9-month period this year represents a 12% increase compared to the ₹1.49 lakh crore average recorded in the corresponding period of FY 2022-23.

Govt. constitutes the Principal Bench of the Goods and Services Tax Appellate Tribunal at New Delhi

NOTIFICATION NO. S.O. 1(E), DATED 29-12-2023

The Central Government constitutes the Principal Bench of the Goods and Services Tax

Appellate Tribunal (GSTAT) at New Delhi. In this regard, in supersession of the Ministry of Finance, Department of Revenue's Notification Number S.O. 1359(E), a notification has been issued.

New Advisory on requirement of HSN Code on E-Way Bill Portal: Press Release

PRESS RELEASE, DATED 5-1-2024

The NIC has issued an advisory to inform that requirement of 6 digit HSN code for all the B2B and Export transactions by the taxpayers whose Annual Aggregate Turnover (AATO) is more than ₹5 Crores shall be implemented in e-way bill System from 1st February 2024. The taxpayers, with AATO less than ₹5 Crores, would need to provide at least 4 digit HSN code.

Hence, the taxpayers are advised to make necessary changes in their systems and enter 4/6 digit HSN codes while generating the e-way bills through web and API systems from 1st Feb. 2024.

Due date for filing GSTR-3B for November, 2023 extended for several districts of Tamil Nadu: Notification

NOTIFICATION NO. 01/2024-CENTRAL TAX DATED, 5-1-2024

The CBIC has issued a notification to further extend the due date for furnishing the return in FORM GSTR-3B for the month of November, 2023 till 10th January, 2024, for the registered persons whose principal place of business is in the districts of Tirunelveli, Tenkasi, Kanyakumari, Thoothukudi and Virudhunagar in the state of Tamil Nadu.

CBIC extends due date of GSTR-9 and GSTR-9C for several districts of Tamil Nadu: Notification

NOTIFICATION NO. 2/2024-CENTRAL TAX DATED 5-1-2024

The CBIC has issued a notification to extend the due date for furnishing of GSTR-9 and GSTR-9C for the financial year 2022-23 till 10th January, 2024, for the registered persons whose principal place of business is in the districts of Chennai, Tiruvallur, Chengalpattu, Kancheepuram, Tirunelveli, Tenkasi, Kanyakumari, Thoothukudi and Virudhunagar in the state of Tamil Nadu.

CBIC notified special procedure for persons engaged in manufacturing of Pan Masala & Tobacco products from 1-4-2024

NOTIFICATION NO. 4/2024-CENTRAL TAX DATED 5-1-2024

The CBIC has notified special procedure which shall be followed by registered persons engaged in manufacturing of Pan Masala & Tobacco products from 1-4-2024. The registered persons engaged in the manufacturing of tobacco, pan masala and other similar items were required to follow a specific procedure such as furnishing the details of packing machines, maintaining additional records, and submission of special monthly statements with effect from 1-1-2024. However, the Government has deferred the implementation of special procedures till 1-4-2024. Further, some modifications have been made in the procedural aspects of registration of machines and special monthly returns. The requirement to maintain daily records in Form SRM-IIIA and Form SRM-IIIB has been done away with. The previous notification prescribed for maintaining a daily record of inputs and production/clearance in each place of business in the specified format specified of Form SRM-IIIA and Form SRM-IIIB respectively.

Case Law

Bank account of assessee should be de-freezed since it filed appeal and deposited 10% of total outstanding demand: HC

***Jey Tech Moulds Dies* v. *Deputy Commissioner (GST)-II* [2024] 158 taxmann.com 15 (Mad.)**

The petitioner was engaged in manufacturing of plastic moulds and dies. It had filed GST returns. However, the supplier of petitioner failed to make the payment of GST. The department proceeded against the petitioner and passed an order but it also freezed the bank account of the petitioner. It filed writ petition to de-freeze their bank account and submitted that it had filed an appeal before the Appellate Authority and paid 10% of the demand amount.

The Hon'ble High Court noted that as per provision of Section 107, if assessee had paid 10% of outstanding tax dues along with penalty, the GST proceedings would be automatically stayed. In the instant case, the petitioner had paid the pre-deposit amount and therefore, the revenue was supposed to de-freeze bank account of petitioner as per Section 107. Therefore, the Court directed the department to de-freeze the petitioner's bank account.

Demand for interest on delayed payments during period of GSTIN cancellation was inequitable and liable to be set aside: HC

***Hilton Garden INN* v. *Commissioner of Kerala Goods & Services tax* [2024] 158 taxmann.com 93 (Ker.)**

The petitioner remitted the GST for the month of July, 2017 on 21-8-2017 but on account of technical problem in the GST network, the tax remitted by the petitioner could not get reflected in the cash ledger appearing in the return module and the GSTIN was cancelled without notice.

It filed application for restoration of GSTIN and the same was restored after following interim order by Kerala High Court. After restoration, portal remained unavailable so there was further delay in filing of returns and payment of taxes. The department levied demand for interest on delayed tax payment. It filed writ petition against the demand of interest and contended that delay was solely due to technical glitch and unjustifiable cancellation of their GSTIN.

The Hon'ble High Court noted that the petitioner's GSTIN was cancelled without notice and it had to approach High Court for restoration of GSTIN. The Court also recognized petitioner's hardships caused by technical glitch and wrongful cancellation of GSTIN. Therefore, the Court held that the demand for interest on delayed payment was inequitable and liable to be set aside. However, the Court also held that the petitioner would be liable for interest on any delay in remitting tax after 20 days from restoration of GSTIN.

Commissionerate issuing SCN to assessee with highest demand holds jurisdiction to adjudicate all connected SCNs: Delhi HC

***Aasanvish Technology (P.) Ltd.* v. *Director General of GST Intelligence* [2024] 158 taxmann.com 50 (Delhi)**

The petitioner was engaged in the business of providing online gaming services. The department issued show cause notice (SCN) proposing to demand tax and penalty. It filed writ petition to challenge the SCN and contended that the Additional Commissioner of Central Tax, Thane would have no jurisdiction to adjudicate the said notice.

The Hon'ble High Court noted that in the instant case, multiple SCNs were issued in connected matters. The CBIC has issued Circular No. 31/05/2018-GST to clarify that the matter for adjudication can be placed before an officer, who exercises jurisdiction in respect of the noticees (where multiple notices have been issued), in whose case the maximum demand has been raised.

Therefore, the Court held that the contention of the petitioner that Additional/Joint Commissioner of Central Tax, Thane would have no jurisdiction was unmerited since highest demand was raised in impugned SCN. The Court also directed the concerned officer to consider all contentions and defences raised by the petitioner and he would be required to pass a speaking order.

Deptt. erred in denying ITC transited from pre-GST regime as Section 174(2)(*e*) preserves pre-GST legal actions: HC

***Tripati Ispat Udyog* v. *State of Jharkhand* [2024] 158 taxmann.com 124 (Jhar.)**

In the present case, the petitioner was engaged in the business of trading of Iron and Steel within the state of Jharkhand. It filed Form GST TRAN-1 within the prescribed time, transiting an amount of ₹26,81,541/- from the JVAT regime to GST regime. The FORM GST TRAN-1 was duly accepted by the GST department and amount was reflected in the electronic credit ledger of the petitioner.

Later, the petitioner received SCN under FORM GST DRC-01 for initiating proceeding u/ss. 73, 74, 122, 132(1)(*d*), 132(1)(*a*) of the CGST Act and it was alleged that the petitioner had not apportioned ITC as per the provisions of section 18(8)(*xviii*) of the Jharkhand VAT Act and thus not entitled to credit.

The petitioner filed writ petition and contended that initiation of the adjudication proceeding under GST was incorrect and summary notice without the issuance of a detailed SCN was void-ab-initio.

The Hon'ble High Court observed that in the case of Usha Martin Limited [2022] 145 taxmann.com 224 (Jhar.), it was held that section 174(2)(*e*), saves any investigation, inquiry, verification, assessment, adjudication and any other legal proceedings as if these acts have not so amended or repealed.

Therefore, GST authorities were incorrect in assuming jurisdiction and initiating a proceeding under provision of CGST Act by alleging therein that ITC so transited from pre-GST regime was inadmissible under VAT regime.

No GST exemption on accommodation services consisting of rooms without kitchen and with daily housekeeping services: AAR

***Ms. Deeksha Sanjay*, In re [2024] 158 taxmann.com 17 (AAR - Karnataka)**

The applicant was engaged in business of renting of an immovable property and providing accommodation services consisting of rooms or units *i.e.* portion of room with beds for single/double/triple occupancy, without kitchen and with daily housekeeping services. It filed an application for advance ruling to determine whether such services are exempt or taxable under GST.

The Authority for Advance Ruling observed that the applicant would be providing services that would be akin to services provided by hotel, INN, guest houses, clubs and other similar establishments since it would be charging per bed on monthly basis and unrelated people would share room. It was further noted that the rent being charged per person per unit per day would be less than five thousand. Therefore, it was held that the services would be covered under Heading No. 9963 and would attract 12% GST.

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Income-tax

Statutory Changes

Over 8.18 crore ITR filed for AY 2023-24, marking a 9% rise from AY 2022-23: CBDT

PRESS RELEASE, DATED 1-1-2024

The Central Board of Direct Taxes (CBDT) has released data related to the submission of Income-tax Returns by the taxpayers for the Assessment Year 2022-23. It was stated that a record-breaking 8.18 crore income tax returns were submitted for the assessment year 2023-24 by December 31, 2023, surpassing the 7.51 crore filings by the same date in the previous year. This reflects a 9% increase compared to the total number of ITRs filed for the assessment year 2022-23.

Further, the total number of audit reports and other forms filed during the period is 1.60 crore, as against 1.43 crore audit reports and forms filed in the preceding year's corresponding period.

Further, the e-filing Helpdesk team handled approximately 27.37 lakh queries from taxpayers during the year up to 31-12-2023, supporting the taxpayers proactively during the peak filing periods.

Govt. notifies investment in financial product by NR with 'IFSC capital market intermediary' for Sec. 10(4G) exemption

NOTIFICATION NO. 4/2024, DATED 4-1-2024

Section 10(4G) exempts income earned by a non-resident from its portfolio subject to certain conditions. With effect from Assessment Year 2024-25, the Finance Act, 2023 has extended the scope of this exemption to any income received by a non-resident from the specified activity carried out by the specified person. The Central Government is empowered to notify the activity and the person who can carry out such activity.

Exercising such power, the Central Government has notified the non-resident's activity of investment in a financial product, in accordance with the contract with such non-resident entered into by a capital market intermediary, being a Unit of an International Financial Services Centre.

The income generated from this investment will be received in the non-resident's account maintained with the Offshore Banking Unit of the mentioned International Financial Services Centre, as specified in sub-section (1A) of section 80LA.

CBDT notifies four more entities for Section 10(*46*) exemption

NOTIFICATION NO. 06/2024, NOTIFICATION NO. 07/2024, NOTIFICATION NO. 08 /2024, AND NOTIFICATION NO. 09/2024, DATED 5-01-2024

The Central Board of Direct Taxes (CBDT) has notified 'Polavaram Project Authority', 'District Legal Service Authority Union Territory Chandigarh', 'Haryana State Board of Technical Education' and 'Karmayogi Bharat' for the purposes of clause (46) of section 10 of the Income-tax Act, 1961.

CBDT notifies three more entities for Section 10(*46*) exemption

NOTIFICATION NO. 01/2024, NOTIFICATION NO. 02/2024, AND NOTIFICATION NO. 03/2024, DATED 2-1-2024

The Central Board of Direct Taxes (CBDT) has notified 'Bellary Urban Development Authority', 'Karnataka State Rural Livelihood Promotion Society' and 'Madhya Pradesh Professional Examination Board' for the purposes of clause (*46*) of section 10 of the Income-tax Act, 1961.

Case Law

ITAT upheld penalty as poor track record of clearance of cheque isn't valid reason to make repayment in cash

***Kamaljeet Kaur Gill* v. *Jt. CIT* [2023] 157 taxmann.com 446 (Raipur - Trib.)**

The assessee had made repayment of loans taken to finance buses in cash. The assessee contended that she had made cash payments for two reasons. Firstly, her repayment record was abysmal as the cheques were not honoured on several occasions. Therefore, the financers had insisted upon her to make repayment of the monthly loan instalments in cash. Secondly, she had also remained ignorant of the provisions of section 269T.

Thus, the assessee claimed that there was a reasonable cause for not making payments through cheques, and no penalty was liable to be imposed on her. However, the Joint Commissioner imposed penalty on the assessee under section 271E for repaying the loans in contravention of the mode prescribed under section 269T.

On appeal, the CIT(A) also confirmed the penalty so imposed. Aggrieved by the order, the assessee filed an instant appeal before the Raipur Tribunal.

The Tribunal held that Section 269T contemplates the prescribed modes for repayment of a loan exceeding the specified amount, including account payee cheque, account payee bank draft, use of the electronic system through a bank account, and other electronic modes as may be prescribed.

Considering the various repayment methods outlined in section 269T, if the lenders were hesitant to accept monthly loan instalments from the assessee *via* cheques due to her poor track record, she could have securely executed the repayments using account payee bank drafts or electronic clearing systems through her bank account. Alternatively, she could have opted for any other authorized electronic mode specified in rule 6ABBA.

The assessor's explanation, stating that she had to make cash payments because the lenders were unwilling to accept loan repayments through account payee cheques, was unsatisfactory.

Further, no substance was found in the assessee's claim that she was unaware of the provisions of section 269T. The assessee was availing the services of a chartered accountant and had her accounts audited by him. Considering the aforesaid factual position, and independent of the settled position of law that an assessee cannot be allowed to plead ignorance of the law, it was concluded that there was no substance and merit in the claim of the assessee that she was oblivion of the modes and manner for repayment of loans as prescribed under section 269T.

Accordingly, the penalty under section 271E was upheld.

Withdrawal/non-pressing of grounds by assessee's Counsel isn't mistake apparent from records for Sec. 254: ITAT

***Dhanwan Leasing and Finance Co. Ltd.* v. *ITO* [2024] 158 taxmann.com 44 (Indore - Trib.)**

The assessee filed the instant application under section 254(2) seeking recall/rectification of the order passed by the Tribunal for Assessment Year 2010-11. Assessee contented that its appeal was wrongly dismissed by ITAT being not pressed by the Counsel at the desire of the assessee. The assessee raised the contention that the Counsel had no authorization to withdraw the ground raised by the assessee. Yet, the ITAT allowed the withdrawal of the appeal on such grounds.

The Tribunal held that the assessee argued that Counsel didn't have any authorization to withdraw the grounds raised by the assessee. In this regard, the 'Letter of Authority' filed by the assessee's Counsel was reproduced. Considering the same, one can easily find that the assessee has given authority to his Counsel to appear and present the assessee before ITAT. Such authority was fullest, unlimited and unrestricted, and there was no rider mentioned therein.

Secondly, the assessee has specifically authorized his counsel *"to compound matters wherever necessary"*. This compounding authorized the assessee's Counsel to withdraw full or part of the appeal, *i.e.* one or more grounds.

Thus, the withdrawal or non-pressing of the ground by Counsel was within the power and the authority being representative of the assessee. Failure to raise ground during a hearing and later attempting to address it through a Section 254(2) application after an unfavourable decision by ITAT would set a dangerous precedent.

Hence, the claim by the assessee that the ITAT acknowledged withdrawal or non-pressing without Counsel's authorization lacks merit.

Sec. 79 not applicable if change in shareholding occurs between shareholders being holding & subsidiary Co.: ITAT

***Hiranandani Healthcare (P.) Ltd.* v. *CIT (Appeal), National Faceless Appeal Centre* [2023] 157 taxmann.com 551 (Mum. - Trib.)**

The assessee-company engaged in providing healthcare services was held by two shareholders, FHL and FHHPL. During the year, the assessee issued equity shares at premium to FHL, which resulted in change in the shareholding pattern between both the shareholders, i.e., the holding of the FHL increased to 85 per cent while the holding of FHHPL was reduced to 15 per cent. The assessee claimed set-off of brought forward losses.

Assessing Officer (AO) took the view that the change in shareholding pattern between two shareholders would be hit by provisions of section 79. Accordingly, he held that the assessee was not entitled to carry forward and set off accumulated losses and rejected the claim for set-off of brought forward losses.

On appeal, the CIT(A) upheld the order of AO. The matter was reached before the Mumbai Tribunal.

The Tribunal held that a perusal of section 79 would show that the said provision bars setting off brought forward losses if the shares of the company carrying not less than 51 per cent of the voting power were not beneficially held by the very same persons in the years in which the losses were incurred and the years in which the said loss was sought to be set-off.

In the instant case, it was noticed that there are only two shareholders, viz., FHL and FHHPL. As mentioned above, both shareholders have beneficially held 51 per cent of the voting power as a group. Further, the FHHPL is a holding company of FHL.

Hence, the increase in FHL shareholding in the assessee, in any case, would not result in a change in the voting power of the shareholders. Accordingly, the provisions of section 79 will not be applicable in the facts of the instant case. Hence, the view expressed by the tax authorities that the change in individual shareholding would also attract the provision of section 79 is not justified.

Accordingly, the order passed by the Commissioner (Appeals) on this issue is to be set aside and the Assessing Officer is to be directed to allow set-off brought forward losses.

Exp. incurred towards interior decoration work of rented office premises is allowable as revenue expenditure: ITAT

Harmuny Entertainment (P.) Ltd.* v. *Dy. CIT
[2023] 157 taxmann.com 547 (Kol. - Trib.)

The assessee had incurred certain amount towards interior decoration of office premises. It had claimed it as revenue expenditure. However, the Assessing Officer held that said expenditure incurred by the assessee was capital in nature.

The matter reached before the Tribunal.

The Tribunal held that the assessee was in the entertainment business. Thus, the interior decoration of the office is very important, and with its help, the assessee can impress its clients and make better efforts to increase its business.

The assessee had also incurred office rent expenses. There was no immovable property in the form of an office under the head 'fixed asset'. It prima facie indicates that the assessee incurred some interior decoration work in the rental premises, which was subject to change as and when needed.

Therefore, considering the total turnover of the assessee, the alleged sum being hardly 1 per cent of the gross turnover, and the assessee not having any self-owned office premises, it is to be held that it is a revenue expenditure, and the same should be allowed.

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Corporate Laws

Company Law

SEBI strengthens short-selling norms, tightening norms particularly for Institutional Investors

CIRCULAR NO. SEBI/HO/MRD/MRD-PoD-3/P/CIR/2024/1, DATED 5-1-2024

The SEBI has modified the short-selling norms. As per the amended norms, institutional investors must disclose upfront at the time of placement of order whether the transaction is a short sale. Further, the retail investors will have to disclose the same by the end of the trading hours on transaction day. The brokers are mandated to collect the details on scrip-wise short sell positions, collate them and upload them to the stock exchanges before the trading commencement.

SEBI tweaks AIF norms, modifies the norms w.r.t demat holding and appointment of custodian

NOTIFICATION NO. SEBI/LAD-NRO/GN/2024/163, DATED 5-1-2024

The SEBI has modified the Alternative Investment Norms. An amendment has been made in Regulations 15 & 20. A new clause has been added in Regulation 15 which provides the list of situations where an AIF can hold the investment in a non-dematerialised form. This includes investments in instruments and liquidation schemes of AIFs that are not eligible for demat. Further, the norms w.r.t the appointment of custodians has also been modified.

Courts can't modify arbitral awards on grounds that damages will be paid from the exchequer: SC

***S. V. Samudram* v. *State of Karnataka* [2024] 158 taxmann.com 137 (SC)**

In the instant case, the issue at hand questions the justification of the High Court in confirming the order under Section 34 of the Arbitration & Conciliation Act, which modified and reduced the award by the Senior Civil Judge. The appellant secured a contract in 1990 from the Karnataka State Public Works Department for constructing the office and residence of the Chief Conservator of Forests for ₹14.86 lakhs. The contract specified that possession of the construction site would be handed over to the claimant/appellant.

The appointed work, scheduled for completion by May 6, 1992, faced delays attributed to the State authorities' alleged failure to clear bills and disruptions like site changes and material delivery delays. Resorting to arbitration, the claimant filed a ₹18,06,439/- claim, with the Arbitrator finding the respondents liable. Dissatisfaction arose when a Civil Judge modified the arbitral award.

The Supreme Court, criticized the lack of fidelity to the statutory text in modifying the arbitral award under Section 34 of the A&C Act. It emphasized the circumscribed nature of the Court's power under Sections 34 and 37, highlighting that the judgment appeared more like an appellate court's re-examination of merits.

The Supreme Court further observed that the judgment holding the award as perverse and against public policy lacking material support, specifically disputing the claim of contractor delay. Regarding cost escalation, it deemed the 100% factor as exaggerated and rejected a 25% lump sum escalation, asserting that such factors do not justify modifying the award governed by the agreed terms and conditions.

Accordingly, the Supreme Court allowed the appeal, set aside the judgment of the Civil Judge, restored the award passed by the Arbitrator, and directed the State to pay the amount expeditiously.

INSOLVENCY AND BANKRUPTCY CODE, 2016

Serving as a resolution professional in a specific area doesn't dictate territorial jurisdiction

***Ananda Rao Korada* v. *IBBI* [2023] 157 taxmann.com 451 (Cal.)**

In the instant case, the Petitioner-Resolution Professional filed a petition on the ground that in the corporate resolution proceeding in which the cancellation of RP's registration took place was in Odisha and the RP had participated in proceedings in connection therewith in High Court at Odisha.

However, decision to cancel the petitioner's registration was taken by Insolvency and Bankruptcy Board of India in New Delhi. The Respondent IBBI alleged that the instant writ petition was not maintainable.

It was noted that the petitioner himself was registered in Kolkata as a RP and thereafter started functioning in such a capacity throughout the country. The High Court held that functioning as a RP within the territorial jurisdiction of Odisha could not, by any stretch of imagination, be cited as a determinant for territorial jurisdiction when RP's very registration for acting as a RP had been cancelled.

Further the HC held that the cancellation, as much as in Odisha, precluded petitioner from acting as a RP throughout territorial jurisdiction of India, which was not restricted to a particular State.

Also the mere fact that decision to cancel petitioner's registration was taken in New Delhi by IBBI did not in any way restrict jurisdiction of cause of action to the Delhi High Court.

Consequently the HC held that cause and effect of decision of respondent authorities were not limited to functioning of petitioner in New Delhi and, thus, it could not be said that territorial jurisdiction could be restricted to Odisha.

Therefore, instant Court would have territorial jurisdiction as at least a part of cause of action arose within territorial jurisdiction of West Bengal and such objection as to maintainability taken by respondent was to be turned down.

NCLAT's reversal of time-barred plea isn't automatic CIRP admission without hearing rival claims: SC

***Maneesh Pharmaceuticals Ltd.* v. *Export Import Bank of India* [2024] 158 taxmann.com 109 (SC)**

In the instant case, the application filed by Exim Bank under Section 7 of the Insolvency and Bankruptcy Code was dismissed by the NCLT on the ground that the debt was barred by limitation. However, while dismissing the petition on the grounds of limitation. The order of the NCLT was challenged in appeal by the respondents.

The NCLAT set aside the order of the NCLT and held that the finding that the debt was barred by limitation was "patently illegal". However, while doing so, the NCLAT also observed that "there is no dispute raised regarding the liability of the Corporate Debtor towards the Financial Creditors and the guarantee by the Respondent".

The matter reached the Supreme Court. The Apex Court held that the order of the NCLAT, properly construed, dealt with the issue of whether the debt was barred by limitation.

The Court held that when the order of the NCLT was questioned in appeal, the NCLAT set aside the order of the NCLT as being "patently illegal". Once the order of the NCLT was set aside, the order would cease to exist. The observations in regard to whether there was a debt due and payable would also not exist with the setting aside of the order.

The order of the NCLAT, properly construed, dealt with the issue as to whether the debt was barred by limitation. A passing reference in the order of the NCLAT to whether the debt was in dispute must be read in the context of the nature of the appeal which arose from an order of the NCLT that the debt was barred by limitation. Hence, it would be inappropriate to read the order of the NCLAT as concluding the issue in regard to whether the application under Section 7 was or was not liable to be admitted.

A stray observation in the order of the NCLAT cannot be regarded as a conclusive determination on merits.

That apart, the order of the NCLT which contained an observation that the debt was not in dispute was set aside in appeal by the NCLAT in its entirety.

Consequently, it was inappropriate for the NCLAT to direct the NCLT to admit the application under Section 7 straightaway without an evaluation of the rival contentions on merits.

Accordingly, the appeal was to be allowed and the impugned judgment and order of the NCLAT was to be set aside. The application under Section 7 has already been restored to the file of the NCLT. The NCLT shall, after hearing the parties, determine as to whether the application under Section 7 is liable to be admitted. All the rights and contentions of the parties in that regard are kept open.

Properties auctioned under SARFAESI before IBC moratorium aren't liquidation assets for insolvent debtors: SC

***Haldiram Incorporation (P.) Ltd.* v. *Amrit Hatcheries (P.) Ltd.* [2024] 158 taxmann.com 110 (SC)**

In the instant case, the appellant was the purchaser in an auction sale of certain properties of a defaulting borrower. A sale certificate was issued under the provisions of the Securitization and Reconstruction of Financial Assets and Enforcement of Security Interest Act, 2002 (SARFAESI Act) in relation to the immovable properties in respect of which the auction sale was held i.e. two blocks of land situated in Howrah district in the State of West Bengal.

The auction sale took place in respect of properties mortgaged by the borrower for availing credit facilities. The latter had defaulted in repayment of the same. It is the case of the appellant that payment was completed by it on 16-8-2019.

An operational creditor filed a petition u/s 9 of the IBC before the Adjudicating Authority (NCLT) and consequently on 20-8-2019, a moratorium was declared, initiating the Corporate Insolvency Resolution Process (CIRP).

An erstwhile Director of the Corporate Debtor had taken out a notice of motion resisting the sale of the said properties. The NCLT, by an order passed on 25-2-2020 found the issue of sale certificate and handing over of the property to be illegal and hence held that the subject-property shall continue to be assets of the Corporate Debtor.

The NCLT had proceeded on the basis that sale was not concluded and while commencing the resolution process, directed the Liquidator to take possession of the subject-properties. The Punjab National Bank had appealed against the aforesaid order of the Adjudicating Authority, which was dismissed on 14.02.2022, by a 2:1 majority decision, with a technical member of the Appellate Tribunal taking a dissenting view.

The Supreme Court observed that the Liquidator, the erstwhile Director/Promoter of the Corporate Debtor as also the Bank does not dispute the factual position that the sale stood concluded before declaration of moratorium. No reason was cited to demonstrate as to why the sale certificate should be declared illegal. All the three respondents have concurred at the time of hearing on the point that the sale stood concluded.

The Supreme Court held that the properties in question cannot be treated as liquidation assets of the Corporate Debtor for the purpose of further steps to be taken in the liquidation proceeding. The impugned order was to be set aside and that would also render the order of the Adjudicating Authority invalid to the extent the two properties of the Corporate Debtor located in the district of Howrah are concerned.

FEMA AND BANKING REGULATIONS

RBI hikes bulk deposit limit for Urban Co-operative Banks (UCBs) in Tier 3 & Tier 4 to ₹1 Crore

CIRCULAR NO. RBI/2023-24/104 DOR.SPE. REC.63/13.03.00/2023-2024, DATED 01-01-2024

RBI has decided to enhance the bulk deposit limit for Scheduled Primary (Urban) Co-operative Banks, in Tier 3 and 4, to ₹1 crore and above. Accordingly, "Bulk Deposit" for Primary (Urban) Co-operative Banks would now mean that a Single Rupee term deposits of ₹1 Crore and above for Scheduled UCBs categorised as Tier 3 and 4 UCBs under the revised regulatory framework. Single Rupee term deposits of ₹15 lakhs and above for all other UCBs (i.e., other than Scheduled UCBs in Tier 3 and 4).

RBI issues revised instructions for inoperative accounts/unclaimed deposits in Banks

CIRCULAR NO.RBI/2023-24/105 DOR.SOG (LEG).REC/64/09.08.024/2023-24, DATED 01-01-2024

The RBI issued revised guidelines w.r.t. inoperative accounts /unclaimed deposits in banks. The Central bank called for steps to trace the customers of inoperative accounts or unclaimed deposits including their nominees or legal heirs for re-activation of accounts, settlement of claims or closure. RBI also stressed a periodic review and measures to prevent fraud in such accounts. No charges must be levied for activation of inoperative accounts

IFSCA grants renewal recognition to IFSC limited exchanges for one year

IFSCA/INDIA ICC/RENEWAL/2023-24 AND IFSCA/INDIA INX/RENEWAL/2023-24, DATED 03-01-2024

International Financial Services Centres Authority (IFSCA), has granted the renewal of recognition by India International Clearing Corporation (IFSC) Limited, 1st Floor, Unit Nos. 101 & 102. The renewal of recognition to the said Clearing Corporation is granted for one year, commencing on the 29th day of December, 2023 and ending on the 28th day of December, 2024.

RBI updates KYC norms; amends the definition of 'Politically Exposed Persons'

CIRCULAR NO. RBI/2023-24/107 DOR.AML. REC.66/14.01.001/2023-24, DATED 04-01-2024

The RBI has amended the Master Direction on KYC. The amendment introduces an explanatory note within Sec. 41 of the Master Direction, providing a comprehensive understanding of 'Politically Exposed Persons (PEPs)'. PEPs are individuals who are or have been entrusted with prominent public functions by a foreign country, including Heads of State/Governments, senior politicians and important political party officials.

RBI issues revised guidelines on forex risk hedging w.e.f. April 05, 2024

CIRCULAR NO. 13 RBI/2023-24/108 A. P. (DIR Series), DATED 05-01-2024

The RBI has issued the revised directions on 'Risk Management and Inter-Bank Dealings – Hedging of foreign exchange risk'. Revised directions, allow Authorised Dealers (AD) to classify users as retail or non-retail to offer forex derivative contracts and foreign currency interest rate derivative contracts. ADs can offer foreign exchange contracts, involving INR or otherwise, to users (both retail and non-retail) for Cash, tom; and spot. Directions shall come into force w.e.f. April 05, 2024.

Petitioner, affected by an impersonated sale, cannot be evicted until his appeal to establish property rights is resolved

***Dr. A. Md. Kalifa* v. *Assistant Director, Directorate of Enforcement* [2023] 157 taxmann.com 452 (Mad.)**

In the instant case, one 'L' was owner of subject property. The Petitioner and his father-in law were tenant from the very inception and running 'Imperial Beverage' in said premises. There was an oral agreement between parties for sale of the subject property and the entire sale consideration had been paid to 'L'.

Before sale had been registered, 'L' passed away. Meanwhile, some false documents had been created by Respondent as if she was legal heir of 'L' and subject property was sold to another Respondent against whom proceedings had been initiated under Prevention of Money Laundering Act, 2002 and accordingly, order for attachment of subject property had been made.

However, no notice had been served on petitioner for provisional or final attachment. Thereafter, a possession notice had been issued for eviction of petitioner from the premises. It was not in dispute that criminal proceedings were pending for forgery of documents.

Further, it was also not disputed that document said to have been executed by Respondent was forged by impersonation. The factum of possession of property by petitioner had not been disputed by department.

The High Court observed that any order of eviction would certainly affect right of a petitioner. Further, considering facts and circumstances of case, it was held that the petitioner was certainly an aggrieved person, and he was entitled to file an appeal and establish his right over property.

Due-diligence about financial health of investee-Co. negates any misrepresentation of facts by Bank Consortium: HC

***Kotak Mahindra Bank Ltd.* v. *Hassad Food Co. Q S C* [2024] 158 taxmann.com 88 (Delhi)**

In the instant case, Various credit facilities were granted by consortium of banks to company 'B'. In terms of agreements with concerned banks, any change in shareholding required their NoCs.

Subsequently, Respondent had entered into share purchase agreement with promoters of 'B' for acquisition of 69.5 per cent equity in 'B'. NoCs for change in shareholding were granted by banks including the appellant on condition that the Respondent would furnish a corporate guarantee securitizing 70 per cent of working capital facilities availed by 'B' from banks.

Thereafter, Respondent issued a corporate guarantee in favour of consortium of banks. Later, 'B' defaulted on repayment of its loan and its accounts with banks, including one with appellant, became irregular.

Consequently, the Appellant invoked corporate guarantee and subsequently, filed an application before DRT for recovery of dues, wherein 70 per cent of said sum was sought to be recovered from the Respondent in terms of the corporate guarantee.

During pendency of proceedings before DRT, Respondent filed an instant suit seeking a declaration, that the corporate guarantee was vitiated on account of misrepresentation and fraud on the part of a consortium of banks.

Further, it was alleged that a consortium of banks actively concealed knowledge about the poor financial health of 'B'. Single Judge, by impugned order, had passed an interim order in favour of Respondent, which had led to the filing of the instant appeal.

It was noted that decision of Respondent to invest in 'B' and to enter into the Share Purchase Agreements was pursuant to their negotiations with 'B' and after due diligence concerning its financial health and other aspects. For said purpose, services of various well known agencies and law firms were engaged by Respondent.

Thus, the High Court observed that by no stretch of imagination, investments made by Respondent could be said to have been triggered by any misrepresentation by the Appellant or other banks. Further, complaint given to EOW by Respondent, which led to the registration of FIR, did not, in any manner, alleged any fraudulent act on the part of the appellant.

The High Court held that Status reports of SFIO in relation to alleged fraud committed by 'B', did not in any manner implicate a consortium of banks. Thus, an appeal against the order of a Single Judge was to be allowed.

SC upholds HC's bail cancellation if cheque amount is not paid to creditor, imposes ₹5 Lakhs cost

Satish P. Bhatt* v. *State of Maharashtra
[2024] 158 taxmann.com 139 (SC)

The facts in the instant case reveal a scenario characterized by a consistent neglect of court directives and a casual attitude towards legal and financial obligations. Further, the Petitioner's conduct served as an illustration of how an individual's indifferent approach to financial responsibilities and court orders can erode the core principles of judicial effectiveness.

In the present case, the High Court took a firm stance against the appellant's continued failure to fulfil his financial obligations, culminating in the cancellation of his bail and suspension of sentence in cheque bounce case.

Subsequently, through an order dated 23-07-2019, the High Court revoked both the suspension of sentence and bail that had been initially granted to the appellant and petitioner before the High Court.

This action was taken due to their breach of the commitment made on 03.07.2018, wherein they had undertaken to settle the dues with the complainant-creditor. This undertaking was recorded in the order of the same date. Moreover, they also violated the conditions outlined in paragraph 3 of the order dated 20-03-2019, which had granted an extension of time for compliance.

Consequently, an appeal was preferred with the Supreme Court. The Supreme Court observed that there was no illegality in the order passed by the High Court. The appeal was accordingly dismissed with costs quantified at ₹5 lakhs to be paid to the Complainant within four weeks from today.

Further, it was clarified that this amount of costs will not be adjusted against the compensation awarded to the respondent but will be in addition to it. It was further directed that the appellant and the intervenor to surrender within a period of four weeks from today to undergo the sentence.

The Supreme Court held that in the event of non-surrender, the High Court should employ suitable coercive measures to ensure the execution of the sentence. The revisions filed before the High Court were still awaiting resolution.

Additionally, the High Court is directed to proceed with the adjudication of these revisions, along with any pending applications. It is crucial to ensure full compliance with the undertaken commitments and provide appropriate compensation to the complainant for any further distress caused.

COMPETITION COMMISSION ACT

Regulatory intervention without evident competition hampers exhibitors' autonomy: CCI

***Yogesh Pratap Singh* v. *PVR Ltd.* [2024] 158 taxmann.com 138 (CCI)**

In the instant case, the OP was primarily engaged in businesses of exhibition of films in India through multiplexes and was also engaged in production, promotion and release of films. The Informant, being a novelist, script-writer, lyricist and film maker alleged discriminatory treatment by OP in allocation of screens for exhibition of movies.

The Informant had alleged that OP allocated almost all of its screens to films produced by large production houses which leaves no place for films produced by independent filmmakers.

Further, it was noted that there must be autonomy available to exhibitors to deal with movies way they want, in alignment with their business requirements and subject to provisions of Act. In this vein, nobody can ask for an absolute right to deal with a particular business.

Similarly, there is no absolute right of refusal. This will depend upon facts and circumstances of each case. Thus, right to choose a movie for exhibition lies with OP and this freedom could not be curtailed by compelling it to exhibit movie of Informant unless and until it causes any harm to competition.

Further, OP had submitted evidence of exhibiting informants film titled as Kya Yahi Soch Hai alongside block buster commercial movie Don 2 and informants film earned a collection of merely ₹3 lakh in 90 allocated shows across 11 different location.

The CCI observed that commercial wisdom of exhibitors is largely governed by consumer demand and unless harm to competition is apparent, any intervention will only lead to undesirable consequence by taking away autonomy of such undertaking and substituting decision of such entity by decision of regulator.

In view of foregoing, prima facie, the CCI held that no case of contravention of provisions of act was made out and thus, matter was ordered to be closed forthwith under section 26(2) of the Competition Act, 2002.

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